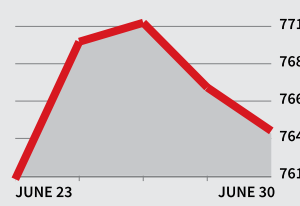


the hindu businessline

SENSEX 76478.67 (-249.70)



IN FOCUS

	LATEST	CHANGE
Nifty 50	23865.75	-80.50
P/E Ratio (Sensex)	20.76	-0.07
US Dollar (in ₹)	94.66	+0.12
Gold Std 10 gm (in ₹)	140720.00	-135
Silver 1 kg (in ₹)	225425.00	+5445

ELECTRIC JUNE.

Bajaj Auto zipped past TVS Motor in E2W sales in June, when the segment crossed the 10% penetration mark **p11**



WIDENING GAP.

Subsidy on food, fertilizer and fuel surges 47%; fiscal deficit touches 9.6% of FY27 BE **p3**

BENGALURU - CHENNAI - COIMBATORE - HUBBALLI - HYDERABAD - KOCHI - KOLKATA - MADURAI - MALAPPURAM - MANGALURU - MUMBAI - NOIDA - THIRUVANANTHAPURAM - TIRUCHIRAPALLI - VIJAYAWADA - VISAKHAPATNAM

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QUICKLY.

FINMIN REPORT

Inflation may be contained in the coming months



New Delhi: Headline inflation is likely to be contained in the coming months despite domestic price pressures, according to a Finance Ministry report released on Tuesday. Additionally, the report called for a reorientation of agricultural pricing policies and prioritised policy reforms in the water sector. **p3**

TRADING BOOST

European regulator recognises Clearing Corp

European authorities have formally recognised India's sovereign debt clearing house as a permitted trading counterparty, making it easier for lenders like Deutsche Bank AG and BNP Paribas SA to trade bonds in India. The European Securities and Markets Authority recognised Clearing Corp of India as a so-called tier-1 third-country central counterparty, the clearing house said in a statement. **p12**

Govt clears ₹1.25 lakh cr for Semicon Mission 2.0

CHIP BY CHIP. Aim is to develop an ecosystem from design to manufacture

S Ronendra Singh
New Delhi

The Finance Ministry has approved a budget proposal of approximately ₹1.25 lakh crore for the India Semiconductor Mission 2.0 (ISM 2.0). This funding supports the expansion of domestic chip-making facilities and aims to attract global companies, reinforcing India's status as a premier global semiconductor hub.

According to top officials, the Department of Expenditure under the Finance Ministry has approved the proposal. This new allocation marks a significant increase over the ₹76,000 crore budget previously earmarked for ISM 1.0.

HI-TECH PRODUCTION

The Union Budget in February introduced the second edition of the India Semiconductor Mission (ISM 2.0) to bolster domestic manufacturing.

The initiative aims to develop a comprehensive chip-making ecosystem by supporting equipment, raw materials, indigenous designs and other critical compon-



TECH DRIVE. The new allocation marks a significant increase over the ₹76,000 crore budget previously earmarked for ISM 1.0

ents required for high-tech production.

Terming the semiconductor advances as India's "long-time dream", a senior government official said 12 manufacturing projects had been approved, including two inaugurated for commercial manufacture earlier this year.

Another one — CG Semi — is likely to be inaugurated later this week. "CG Semi's inauguration is scheduled for July 4... and then probably one or two more will happen before this year-end. So, our dream of having commercial semiconductor manufacturing in the country has finally been achieved," said a senior official of the Ministry of Electronics and Information Technology (MeitY).

The official said India had

emerged as a key player in the technology landscape over the last 12 years and "a voice to reckon with" on standards.

Earlier, Ashwini Vaishnaw, Minister for Electronics and IT, had said that in ISM 2.0, the top-most priority will be design companies. Under ISM 1.0, as many as 12 semiconductor manufacturing projects were approved with an investment pipeline of around ₹1.64 lakh crore.

Some of the companies which are setting up facilities under the ISM 1.0 include Tata Electronics (in partnership with PSMC, Taiwan), Micron Technology, Kaynes Semicon, CG Power, HCL-Foxconn Joint Venture, Sutchi Semicon, Crystal Matrix and 6M.

India backs open-source models **p7**

MSC to buy 49% in Adani's Vizhinjam port for ₹13,220 cr

Our Bureau
Ahmedabad

Mediterranean Shipping Company (MSC) Group will buy a 49 per cent stake in Adani Group's Vizhinjam International Seaport in Kerala for \$1.397 billion (around ₹13,220 crore).

The deal values Adani Vizhinjam Port, which operates the facility, at \$2.85 billion (about ₹26,960 crore), stated the company in an official release. The investment will be made through Terminal Investment Ltd, MSC's global port operating arm, and is subject to regulatory approvals.

Details **p2**

Monsoon will be below-normal in July, says IMD

Prabhudatta Mishra
New Delhi

The IMD has predicted 'below-normal' rain in July, quantitatively 94 per cent of the long-period average of 280.4 mm. However, the IMD indicated that a potential positive Indian Ocean Dipole in September might marginally mitigate the adverse impact of El Nino.

Read more **p10**

Economy resilient but susceptible to energy, supply chain shocks: RBI

K Ram Kumar
Mumbai

The economy and the financial system continue to remain susceptible to geopolitical tensions and associated shocks despite headwinds from the West Asia conflict receding, cautioned the Reserve Bank of India's Financial Stability Report.

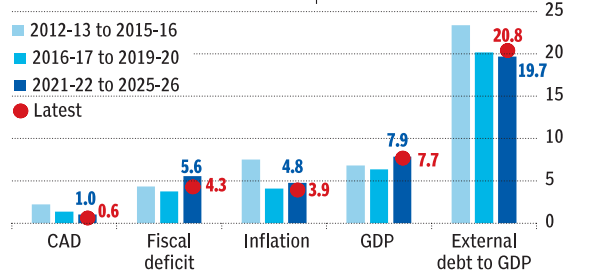
The report, a half-yearly publication with contributions from all financial sector regulators, highlighted that India's sound macroeconomic fundamentals provide ample buffers to deal with external shocks.

However, the economy remains exposed to energy price shocks and supply-chain disruptions, given its high dependence on imported oil and other key commodities.

In his foreword to the report, RBI Governor Sanjay Malhotra said the economy and the financial system had demonstrated remarkable resilience despite facing significant external shocks.

"Strong growth, low inflation, healthy balance-sheets of financial and non-financial firms, and ample buffers have helped preserve macro-financial stability. Nevertheless, we remain alert to evolving external and domestic risks and are commit-

Macroeconomic snapshot



Source: RBI

ted to further strengthening the guardrails that protect our economy and financial system from potential shocks," he said.

EXTERNAL SHOCKS

Malhotra acknowledged that the risk of adverse external shocks had increased, with geopolitical conflicts and fragmentation emerging as key challenges for policymakers. In this environment, preserving financial stability, strengthening the financial system and building systemic resilience had become important more than ever, he added.

The economy recorded a strong growth of 7.7 per cent in FY26 (with an average growth of 7.3 per cent over the last three years), supported by strong private consumption and fixed investment, according to the FSR. "Most of the high-re-

quency indicators for April-May point to continued resilience in economic activity, suggesting that growth has remained firm in the first quarter of 2026-27 despite headwinds arising from the West Asia conflict. Nevertheless, elevated oil and other commodity prices, along with weaker global growth could adversely affect India's domestic growth in 2026-27," the report said.

The RBI has projected FY27 GDP growth at 6.6 per cent.

The report cautioned that the fiscal deficit could come under some pressure. It underscored that higher prices of energy and other commodities could adversely impact the fiscal arithmetic due to limited pass-through of oil price increase, excise duty cuts, and higher outgo on account of subsidies.

More reports **p8**



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Flowserve Sanmar



BS&B Safety Systems (India)



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QUICKLY.

TARIL bags over ₹1,000 cr order from Power Grid



Ahmedabad: Transformers and Rectifiers (India) Ltd (TARIL) said it has secured an order worth over ₹1,000 crore from the state-run Power Grid Corporation of India Ltd for the manufacture and supply of transformers of various ratings, along with associated works, to be executed over the next 30 months. **OUR BUREAU**

Waaree Energies' US arm bags 236 MW order

Ahmedabad: Waaree Energies' US subsidiary, Waaree Solar Americas, has secured a contract to supply 236.22 MW of solar modules for a utility-scale solar project in Flemingsburg, Kentucky, strengthening the company's order pipeline in one of its key overseas markets just days after it clarified that an ongoing US customs matter had not affected its business operations. **OUR BUREAU**

MSC to buy 49% in Adani's Vizhinjam port for ₹13,220 cr

MEGA DEAL. It is one of the biggest foreign investments in India's port sector

Our Bureau
Ahmedabad

Mediterranean Shipping Company (MSC) Group, the world's largest container shipping company, will buy a 49 per cent stake in Adani Group's Vizhinjam International Seaport in Kerala for \$1.397 billion (around ₹13,220 crore), in one of the biggest foreign investments in India's port sector.

The deal values Adani Vizhinjam Port Pvt Ltd (AVPPL), which operates the port, at \$2.85 billion (about ₹26,960 crore), stated the company in an official release on Tuesday. The investment will be made through Terminal Investment Ltd (TiL), MSC's global port operating arm, and is subject to regulatory approvals.

The transaction also deepens the relationship between Adani Ports and Special Economic Zone (APSEZ) and MSC. The companies already jointly operate container terminals at Mundra and Ennore, making Vizhinjam



JOINT OPERATIONS. The transaction deepens the relationship between APSEZ and MSC

their third partnership in India.

DRIVE CARGO GROWTH

For Adani Ports, the partnership is expected to bring a steady flow of cargo to the port, helping it ramp up operations faster. MSC's global shipping network is also expected to help Vizhinjam attract more cargo currently routed through competing transshipment hubs in South-East Asia, particularly shipments linked to Bangladesh.

The partnership is also expected to strengthen the port's connectivity with East

Africa and increase relay cargo traffic. "Vizhinjam has emerged as a premier transshipment hub and has ramped up at an unprecedented pace," said Ashwani Gupta, Whole-time Director and CEO, APSEZ.

Vizhinjam began commercial operations in December 2024 and currently has the capacity to handle 1.6 million containers (TEUs) annually and is being expanded to 5.7 million TEUs by December 2028.

During FY26, the port handled 1.3 million containers and 615 ships. Within just 18 months of opera-

tions, it crossed the two-million-container mark, becoming the first Indian port to achieve the milestone in such a short period. In June 2026, the port welcomed its 1,000th vessel.

Located just 10 nautical miles from the busy East-West international shipping route connecting Europe, the Middle East and Asia, Vizhinjam has been developed as India's first deep-water transshipment port. Its natural depth allows some of the world's largest container ships to dock without extensive dredging. The port has already handled more than 70 ultra-large container vessels, the highest among Indian ports. It is also India's first fully automated port, equipped with automated container handling systems and an AI-enabled vessel traffic management system.

TiL, MSC's terminal business, operates more than 100 container terminals across five continents and handles over 70 million containers every year.

India emerges as UK's second biggest FDI investor, creating 12,700 jobs

Yashaswani Chauhan
New Delhi

India has been the second most important foreign direct investor into the UK in 2025-26, helping create thousands of jobs. This position is likely to improve further once the India-UK Comprehensive Economic and Trade Agreement (CETA) comes into force on July 15.

DATA FOCUS.

The agreement, which provides duty-free access for nearly 99 per cent of Indian exports to the UK and expands market access across 137 services sub-sectors, is expected to encourage companies to establish a stronger presence in each other's markets.

Data from the Department for Business and Trade, UK, shows that Indian companies undertook 93 foreign direct investment (FDI) projects in the UK, creating 12,687 jobs, making it the second largest job creating investor after the US, which generated 15,796 jobs through 239 projects. Germany, France, and the Netherlands followed at a considerable distance.

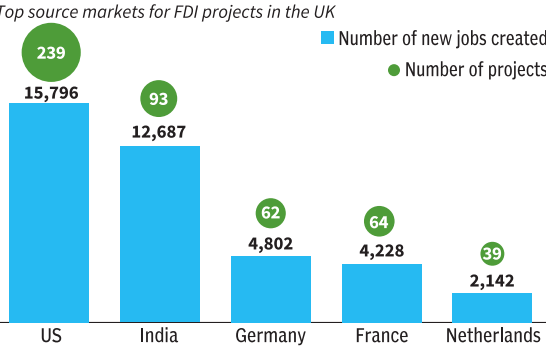
The UK is also emerging as an important destination for Indian overseas investments. Between May 2025 and May 2026, Indian companies undertook 830 overseas investment projects in the UK, making it the country's fourth-largest investment destination after the US, UAE, and Singapore.

This investment momentum had begun building even before the FTA. Earlier in February 2025, the UK government had announced a pipeline of Indian investments, including Aaseya Technologies (€25 million), Time Cinemas (€20 million), Novigo Solutions (€12 million), among several other projects.

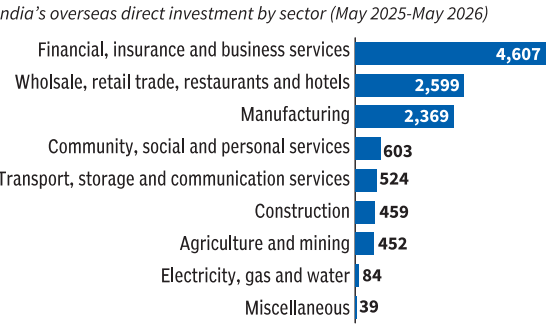
Sector-wise, India's outward investments continue to be dominated by financial, insurance, and business services with 4,607 projects, followed by wholesale and retail (2,599), and manufacturing (2,369), indicating where cross-border

Destination UK

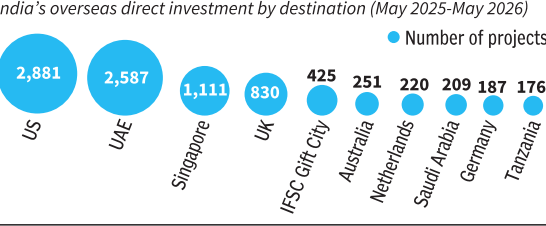
India emerges as the UK's second largest job creating investor



Financial services accounted for 4,607 overseas investment projects



Indian firms undertook 830 projects in the UK



Source: Department for Business and Trade, UK, RBI

investment activity is already concentrated.

THE FTA FACTOR

Experts believe the FTA could strengthen this momentum by converting trade relations into long-term investments.

While financial services, manufacturing and wholesale and retail are expected to remain the dominant sectors for India's overseas investments, the FTA is likely to widen the scope of bilateral investments, said Pallavi Bakhru, Partner, Grant Thornton Bharat.

"Digital and technology services, fintech, advanced manufacturing, healthcare and medical devices, professional services and clean energy are expected to emerge as key investment drivers, supported by enhanced ser-

vices access, greater regulatory certainty and stronger cross-border supply chain integration. The FTA is therefore expected not only to deepen investment in established sectors but also accelerate collaboration in high-value, innovation-led industries," she said.

Industry bodies also expect British investments into India to gather pace. Nirmal K Minda, President, ASSOCHAM, said improved market access, lower tariffs, streamlined customs procedures and stronger support for digital trade would create a more predictable business environment. "British companies will surely look at increasing investment in India considering the rate of economic growth and magnitude of the consumption base," he said.

Sanmar Group evaluating sectors of growth, as engineering arm completes 50 years of JV with American partner

Our Bureau
Chennai

Sanmar Group is in the process of evaluating various sectors, including warehousing, that present growth opportunities in the future, Vijay Sankar, Chairman, The Sanmar Group, said. "At a group level, we are looking at a plan, that we will announce later this year, on areas where we are looking to grow. I think it will take us a few months to do this exercise," he said.

Sankar was speaking at an event to mark 50 years of group company Sanmar Engineering, which was created by joint ventures with four American companies



(from left) B Visweswaran, MD, Sanmar Engineering; Vijay Sankar, Chairman, The Sanmar Group; and Narayan Sethuramom, Vice-Chairman, Sanmar Matrix Metals BUJOY GHOSH

Flowserve, Crane Company, Emerson and BS&B Safety. Of this, the JV with Flowserve is the oldest, completing a golden jubilee.

Between the four businesses, Sanmar Engineering delivers advanced products in the areas of fluid handling, industrial safety and flow

control serving a range of industries including chemicals, refineries and petrochemicals, power and fertilisers. Thanks to ongoing investments, the companies have added capabilities over the years, Sankar said.

Flowserve Sanmar is ex-

panding seal system and gas panel capacity with a new plant at Thirupurur, near Chennai. Xomox Sanmar (Crane) is expanding capacity from 80,000 valves per year to 1.5 lakh valves per year at its facility in Virallimalai. Anderson Greenwood Crosby Sanmar (Emerson) is investing in advanced digital test benches and cryogenic testing facilities. BS&B India develops custom-engineered products in segments such as defence, space, nuclear power and more.

DEMAND TRENDS

Speaking on overall demand trends, Sankar said while capex growth has been a little slow in the last few years, the cycle is picking up.

IHCL targets ₹7,500 crore capex over five years: Chairman N Chandrasekaran

Our Bureau
Mumbai

Indian Hotels Company Ltd (IHCL) is targeting ₹6,000-7,500 crore in capital expenditure over the next five years as it expands across India and select international markets, Chairman N Chandrasekaran said at the company's annual general meeting on Tuesday.

Investments will be made in digital applications, cybersecurity as well as human resources to maintain quality standards and enable the company to benefit from AI tools, he said. There is no plan to raise fresh equity or debt and the company will use internal accruals for growth.

Chandrasekaran said IHCL has diversified significantly in the last 5-10 years and has created multiple



N Chandrasekaran, Chairman, IHCL

Investments will be made in digital applications, cybersecurity as well as human resources

platforms to address different market segments. In FY26, it signed 250 properties increasing its portfolio

to 630 and opened 132 new hotels.

Chandrasekaran said the company will continue to expand across segments and open new hotels in the North East, Punjab and Himachal Pradesh.

STRONG YEAR

"The scope for expansion is very high. Why can't we have a Ginger hotel at every district headquarters? Today, we have 250 Ginger hotels and we can target 1,000 hotels over a period," he said responding to shareholder questions.

He said FY26 was another strong year for IHCL with the company posting consolidated revenue of ₹9,971 crore and net profit of ₹2,247 crore.

In FY26, the company generated free cash of ₹1,450 crore and increased total cash balance to ₹4,300 crore.

Rane (Madras) to acquire Hindustan Composites' friction business

Our Bureau
Chennai

Rane (Madras) (RML) entered into an agreement with the Mumbai-based Hindustan Composites (HCL) to acquire its friction business, as going concern, on slump-sale basis for an enterprise value of ₹370 crore.

HCL's friction business operates two facilities in Paithan and Bhandara, Maharashtra. Based on the latest audited financial results, HCL's friction business reported revenue of ₹315.04 crore and PBT of ₹40.29 crore in FY26, said a release. RML also acquires the brand "COMPO", which reinforces Rane's leadership position by expanding its reach across segments, distributors, fleet operators and aftermarket channels.

The acquisition will create a ₹1,000+ crore friction materials business, establishing RML as the market leader across all major segments, said the release. The transaction is expected to unlock substantial operational synergies through manufacturing scale, an expanded distribution network and enhanced R&D capabilities. The expanded footprint is expected to serve as a critical launchpad for future business expansion.

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Real success of Delhi EV policy will depend on affordable financing: Manufacturers

S Ronendra Singh
New Delhi

The Delhi Electric Vehicle (EV) policy can significantly accelerate the shift towards electric mobility, but the real success of adoption will depend when the products are financially accessible to a much wider consumer base, said some of the industry officials.

"Delhi-NCR is one of India's biggest two-wheeler markets, and the new EV policy can significantly accelerate the shift towards electric mobility. However, the real success of EV adoption will depend not only on product availability, but also on making EVs financially accessible... affordable finan-

cing, low down payments, easy EMIs and competitive lending rates will be critical to converting consumer interest into actual purchases," Anjali Rattan, Chairperson, RattanIndia Enterprises, the manufacturer of Revolt electric motorcycles, told *businessline*.

She said with the right support from the government, manufacturers, dealers and lenders, Delhi can become a benchmark market for EV adoption in India. "It gives the industry and financing partners the confidence to build a stronger EV ecosystem and make electric two-wheelers more accessible for everyday commuters," she added.

Similarly, Ayush Lohia, CEO at Youdha, a manufac-

turer of electric three-wheelers (e3Ws), said that ensuring easier access to EV financing and creating a supportive ecosystem for consumers and fleet operators will be crucial to achieving the policy's ambitious targets.

INDUSTRY READINESS

On the readiness of the industry to meet the demand in one of the largest two-wheeler markets in India, Sujal Firodia Motwani, Founder and CEO, Kinetic Green, said that the industry is ready with e3Ws, already seen as a large transition and movement towards electric format.

"Customers across the country are moving both for L3 (passenger auto) with all



POLICY PUSH. The new guidelines enable a stronger EV ecosystem and make electric 2Ws more accessible for everyday commuters GETTY IMAGES

electric and L5 (commercial three-wheeler) also to EVs. In two-wheelers, there are many good models from leading manufacturers now, especially in the space of scooters and cross-over

vehicles like the e-Luna," she said.

In the area of motorcycles, Motwani said though there are not many models, several announcements have been made by different manufac-

turers. "There is enough time to meet the deadline," she added.

Madhumita Agrawal, Founder and CEO at Oben Electric, said that expanding the adoption of electric motorcycles will be critical to delivering meaningful environmental impact and making electric mobility accessible to a much larger base of riders.

"This also places greater responsibility on manufacturers to build electric motorcycles that can truly replace conventional motorcycles," she added.

Meanwhile, Vimal Singh SV, Founder and CEO, ReadyAssist, said the policy should not be viewed as a setback for internal combustion engine vehicle manufactur-

ers, as India's vehicle penetration still has significant headroom, and the policy is expected to expand the overall mobility market rather than simply shift demand from one segment to another.

"Consumers need confidence that help is always within reach, whether it is roadside assistance, charging support, specialised EV servicing, or access to trained technicians. As the EV ecosystem matures, building a robust service and support network will be just as important as expanding vehicle adoption. A strong after-sales ecosystem will be the foundation for sustainable EV growth in the country," he added.

Share price reaction on p6

Subsidy on food, fertilizer, fuel jumps 47% in April-May

WIDENING GAP. Fiscal deficit surges 9.6% to ₹1.62 lakh crore in end-May

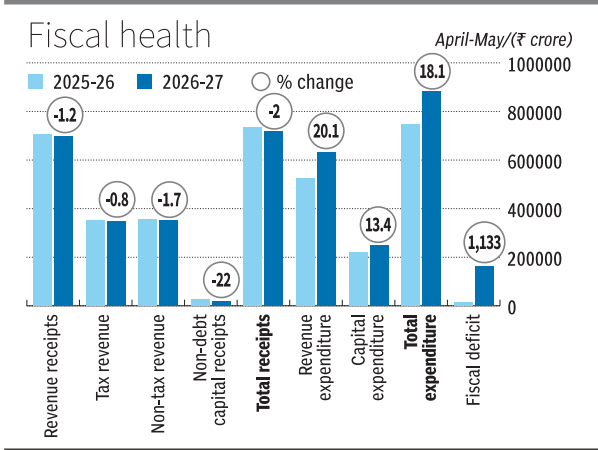
Shishir Sinha
New Delhi

Subsidy on food, fertilizer and fuel surged over 47 per cent in the first two months (April-May) period of FY27, data from the Controller General of Accounts (CGA) showed on Tuesday. With de-growth in total receipts, the Centre's fiscal deficit, the gap between expenditure and income, surged 9.6 per cent.

Fiscal deficit was ₹1.62 lakh crore in value terms at the end of May, CGA data showed. At the end of May 2025, the Centre's fiscal deficit had reduced to 0.8 per cent of the BE of 2025-26 or ₹13,163 crore. The Centre has set a fiscal deficit target of 4.3 per cent of the GDP or ₹16.96 lakh crore in the current fiscal.

BUDGET ALLOCATION

Data also revealed 18 per cent of budget allocation on account of key subsidy had been spent in two months; urea subsidy alone ex-



Source: CGA

hausted nearly 1/4th of the 12 months fund. Still, experts feel that fiscal deficit likely to overshoot the budget estimates lower than earlier projection.

As per the CGA data, net tax receipts stood at ₹3.48 lakh crore, while non-tax receipts were ₹3.51 lakh crore. The total expenditure of the Central government stood at ₹8.81 lakh crore at the end of May, including capital expenditure of ₹2.51 lakh crore.

According to DK Srivastava, Chief Policy Advisor, EY India, CGA data for April and May reflect three basic developments: first, the effect of the ongoing West Asian crisis, second, the sustained impact of the major GST reforms undertaken in September 2025 and third, substantive transfer of dividends from the RBI to the GoI.

As far as GoI's gross tax revenues (GTR) are concerned, the revenue per-

formance of direct and indirect taxes indicate directionally opposite trends.

DIRECT TAXES

In the case of direct taxes, there has been a growth of 10.5 per cent during April-May period of FY27 over the corresponding period of FY26 in which the major contribution came from the corporate income tax. On the other hand, indirect taxes showed a contraction of (-)7.5 per cent. GST revenues contracted by (-)12.2 per cent during these two months. "While growth in GoI's GTR was 1.8 per cent, its net tax revenues contracted because a higher growth of 7.4 per cent was provided in assignment to States during the first two months of 2026-27," Srivastava said.

ICRA Chief Economist Aditi Nayar said looking ahead, the sharp dip in global energy prices following the cooling of tensions in West Asia has improved the outlook for the GoI's fiscal position in FY27.

Due date for filing appeal before GSTAT extended till July 31

Our Bureau
New Delhi

The Finance Ministry has extended the due date for filing of appeals before the Goods and Services Tax Appellate Tribunal (GSTAT) by a month to July 31.

Earlier, the due date was June 30. "The government has extended the due date for filing of appeals before the GSTAT under Section 112 (1) read with Section 112(3) to July 31," the Finance Ministry said in a statement.

The due date has been extended in view of the recent representations from various stakeholders, highlighting technical difficulties due to the rush to file appeals on the GSTAT portal.

It is to be noted that in the last 15 days alone, 30,000 appeals were filed, with daily volumes peaking at 5,500 appeals.

According to Rajat Mohan, Managing Partner at AMRG Global, a decision about extending the due date is a pragmatic move that protects taxpayers' right to appeal while providing certainty during the transition to a fully operational GSTAT.

'Inflation readings may remain relatively contained in coming months'

Our Bureau
New Delhi

Headline inflation is likely to be contained in the coming months despite domestic inflationary pressures, according to a Finance Ministry report released on Tuesday.

Additionally, it called for a reorientation of agricultural pricing policies and prioritised policy reforms in the water sector.

"As the global environment continues to evolve, inflation readings may remain relatively contained in the coming months. Recent easing in global commodity markets, a correction in crude oil prices, and softening of key input prices such as urea may help moderate imported inflationary pressures," the latest edition of the Monthly Economic Review (MER) by the Economic Affairs Department of the Finance Ministry said.

PRESSURE POINTS

Inflation rate based on the Consumer Price Index (CPI) was 3.98 per cent in May against 3.48 per cent of April. Though it is still lower than the median rate (4 per cent) of the targeted inflation

The FinMin report called for a reorientation of agricultural pricing policies and prioritised policy reforms in the water sector

range (2-6 per cent), there are pressure points. "Given the ongoing West Asia crisis and the subsequent global price shock, domestic inflationary pressures appear to be on an upward trajectory, particularly as fuel and energy price shocks diffuse domestically," the MER said.

The report took note of the progress in peace agreement between the US and Iran, and said recent easing in global commodity markets, a correction in crude oil prices and softening of key input prices, such as urea, may help moderate imported inflationary pressures.

Although the normalisation of global supply chains and trade flows to pre-conflict levels may take time, the decline in international commodity prices is expected to provide some cushion against further price pres-

ures. "Government interventions, adequate buffer stocks of key agricultural commodities, and continued supply-side management measures also help mitigate potential supply disruptions," it said.

Further, it said: "Overall, the economy continues to exhibit resilience." However, moderation in select high-frequency indicators suggests some easing in momentum.

POLICY PRESCRIPTION

The MER has also given some policy prescriptions. It said that the West Asia conflict was a reminder of the need for a national policy on buffer stocks for a range of critical raw materials and inputs.

Attention now turns to the impact of a deficient monsoon. While the monsoon rains are expected to improve in July and August, experts point to the increasing unpredictability of rainfall patterns.

"Among other things, water conservation, including recycling, utilisation of budgetary allocations for Jal Jeevan Mission, may now be at the top of the policy priority list," it said.

'Well-governed pension pool can help build developed India'

Our Bureau
New Delhi

Chief Economic Advisor V Anantha Nageswaran said a "deep and well-governed" pension pool can contribute to the creation of a developed India by supporting growth-oriented investments while ensuring liability-aware returns for subscribers.

Addressing an event organised by the Pension Fund Regulatory and Development Authority here, he highlighted that pension

funds globally faced funding challenges, particularly in the past when low interest rates pushed investors towards riskier assets.

FUNDING GAP

"The funding gap has long plagued Western pension funds and narrowed somewhat as interest rates moved away from the zero-flow environment. However, a subtle risk has emerged."

Pension funds have increasingly moved towards assets that are risky, illiquid and sensitive to macroeconomic changes. "Gold is the



V Anantha Nageswaran, CEA

clearest example, and for a country like ours, it carries balance of payments consequences that a domestic liability fund should really tackle."

Nageswaran expressed

concern over the growing dominance of short-term investors in financial markets, saying even traditionally long-horizon investors had seen investment horizons shrink. Chasing higher returns at the cost of pension promises was a risk that pension systems cannot afford. A developed nation should not be judged only by economic output but also by the financial security and dignity it provides to senior citizens.

"Viksit Bharat is not just a number on a national income chart. A country can host high output and still

leave its old people anxious. The truer measure of a developed society is whether security and dignity in old age are broadly shared," he said.

ASSET ACCUMULATION

He emphasised that building resilient pension structures today is imperative to shield a future ageing population. He underscored that moving forward, the industry must solve steady post-retirement income streams alongside asset accumulation.

Delivering the keynote address, S Ramann, Chairper-

son, PFRDA, observed that while the National Pension System had successfully established a formidable framework for retirement savings, the subsequent challenge rests on optimising the de-cumulation phase.

He said the PFRDA-IAI (Institute of Actuaries of India) collaboration will foster research-led, flexible and easily understood financial instruments designed around consumer realities, ultimately encouraging consistent long-term financial security over short-term market speculation.

Duty waiver on key petrochem products pushed to July 15

Our Bureau
New Delhi

The Finance Ministry has extended complete waiver of import duty on certain critical petrochemical products by 15 days to July 15. The waiver was ending on Tuesday.

According to a Ministry statement, the exemption was provided to ensure sufficient availability of petrochemicals in the domestic market as petroleum firms had been asked to concen-

trate on the production of LPG during this period.

The goods on which the customs duty have been exempted include methanol, anhydrous ammonia, toluene, styrene, dichloromethane (methylene chloride), vinyl chloride monomer, poly butadiene, styrene butadiene and unsaturated polyester resins.

On April 2, the Ministry announced full customs duty exemption on critical petrochemical products till June 30 to mitigate the woes due to the West Asia crisis.



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Power shift

Exercise care in revising fixed charge in power bills

The Central Electricity Authority recently released a report that dwells on rationalising the fixed charges of power distribution companies (Discoms). The issue at hand is that fixed charges — arising from payment to generators, transmission costs, employee salaries and infrastructure costs — account for 38-56 per cent of Discom fund requirements, but form no more than 9-20 per cent of their actual revenue.



The report makes a case for rejigging the fixed cost component in bills — and not merely because Discom finances are broken. That is just one of the issues at hand; discoms should also address major operational inefficiencies while seeking to recover fixed costs. Discoms’ finances have been hit by structural shifts in the power generation landscape. The report points out how they have been saddled with ‘stranded assets’ because high paying industrial or even residential consumers straddle captive power and open access while also being reliant on the grid. Despite their reduced offtake from Discoms, the latter needs to incur infrastructure costs. They also get a raw deal in ‘net metering’ scenarios, if the tariffs are not fixed right. Here too, their infrastructure costs remain uncovered. While electricity reforms are predicated on consumer choice and price discovery, Discoms should get their due if their infrastructure is used. The report, however, does not look into whether there are alternatives to tinkering with the bill design.

Going beyond Discom finances, there are three broader objectives to be considered while rationalising fixed charges — equity, energy efficiency and reasonable tariffs to secure economic output. To be fair, the report does not advocate a blanket rise in fixed charges as a share of the bill for all consumers. Rather, it looks at different solutions for industrial and regular consumers. Even within the former, the report tries to consider different consuming intensities. As for equity considerations, fixed charges should be linked to power usage, as Uttar Pradesh has done. Rewarding energy efficiency implies that there is a limit to raising fixed charges. There is, however, some scope for re-examining fixed charges for users with a high load factor (average power consumption as a ratio of peak power), without necessarily raising the overall tariff level, except incrementally over time. Energy use, particularly of fossil fuels, should be gently discouraged. Industry needs reliable, quality power — and utilities should be financially equipped to deliver that.

However, the best efforts at apportioning fixed costs to reconcile various objectives and stakeholder concerns will come to nought, if States continue to promise free power. It is notable that some States, such as Rajasthan, have chosen to subsidise fixed charges more than energy usage. States should stop subsidising power without discretion, and instead address the needs of multiple stakeholders with tariff redesign.

OTHER VOICES.

The Guardian

Rewiring Britain needs Westminster to shed real power
Andy Burnham is not prime minister of the UK – yet. His speech on Monday at the People’s History Museum in Manchester might be read as campaign fodder. But given his lack of opponents, the race to be Labour leader looks already over. If he enters Downing Street, the oration would be the most serious challenge to the Thatcherite settlement attempted by any prime minister since 1979. In office, it will only become that if he turns the language of devolution and public control into institutional power. For decades, Britain has privileged markets over public provision. It weakened local government and organised the state from the centre. And it treated utilities, housing and industry as best disciplined by private ownership and competition. LONDON, JUNE 29

CHINA DAILY

China-EU economic ties not zero-sum game
In a major move underscoring the importance of dialogue over confrontation, Minister of Commerce Wang Wentao and European Commissioner for Trade and Economic Security Maros Sefcovic co-chaired the inaugural meeting of the China-EU trade and investment consultation mechanism in Brussels on Monday. The “intensive, focused and constructive” talks surrounding key economic and trade issues sent a clear signal that China and the EU remain committed to addressing economic and trade differences through dialogue. To prevent disputes from escalating into a trade war, the two sides agreed to set up four initial work streams under the mechanism to further discuss the trade and investment balance, export controls, intellectual property and WTO reform. BEIJING, JUNE 30



TK RAMACHANDRAN

It was reported recently that large cities will soon have bypasses or ring-roads to reduce congestion and facilitate mobility. This is a welcome move but availability of land will be an issue which, if not sorted out, can thwart the best laid plans. We look at some options.
Highways bring huge economic development along the margins and abutting areas. However, the benefits — accessibility, increase in land costs — mostly accrue linearly to lands right alongside the road or highway and rarely reach inner areas. Lack of planning in respect of the surrounding areas and the fact that most lands are privately owned imply that facilities come up haphazardly: small eateries, shops etc. causing congestion and traffic pile-ups. The primary role of a highway is to connect endpoints and reduce travel time; Such facilities have quite the opposite effect. Linear urbanisation along highways also brings in other problems like garbage and lack of civic amenities.
All this can be solved if planning for the marginal lands is also part of highway development. However, this means more land acquisition. Landowners rarely cooperate in the planning process willingly and usually create impediments in acquisition. Therefore, land acquisition continues to be the bugbear.
The lack of availability of land, not just for roads, but for all infrastructure, is increasingly being flagged as one of the major concerns in the economy needing urgent structural reforms as underway in labour or banking. The amended land acquisition laws with Rehabilitation & Resettlement (R&R) policies and special laws like those for highways have made things easier and faster but opposition continues, leading to delays and increased costs.
There is urgent need, therefore, to examine how the issues relating to land acquisition and road-margin planning can be addressed.

PROTESTS AGAINST ACQUISITION
Some years back, we needed land for several highway projects in Tamil Nadu, specially greenfield bypasses; but protests by land owners were a challenge. Of course, that lands abutting roads are valued several times higher is well-known and people were happy with the idea of the road but only as long as their own village or lands were kept out of it.
It took us a lot of time to even arrive at an alignment because every time an alignment was proposed one group would oppose it and suggest a



INCLUSIVE DEVELOPMENT. Making landowners partners in development by handing a portion of land to them

MOORTHY G

realignment that would specifically avoid their own lands or village! This would invariably be tinged with political colour and result in multiple (mis) alignments; many projects would get stalled, sometimes ending in law and order issues.
Typically, landowners protest because they are faced with a triple whammy: One, loss of land which is often the only productive, income-generating asset owned; Two, low compensation because of payments based on guideline values rather than market prices; Three, and most important, the mortification of sacrificing their asset at a low price only to see the value of a neighbours land increasing several-fold (courtesy the new infrastructure) which is denied to them! This is quite understandable; therefore there is a need to make it a win-win situation. It was in this context that a land pooling scheme for roads was proposed and announced.
Broadly, it was like any other land pooling scheme for town planning or industries but with a portion of land

In AP, the way land was acquired for the Amaravati Township project through land pooling is something that should be replicated for all projects requiring land

along the road margins proposed to be handed back to those who lost land. This meant that the width of the corridor acquired for the highway would increase so that there would be sufficient land available beyond the road margins for handing over to the original owners. When I discussed this with a group of farmers from Salem who were losing land, they were very enthused.
It has taken some time for an overall policy to be evolved between different departments since it straddles many sectors — Housing, Industries, Revenue etc. Necessary amendments in the relevant acts and rules and the notifications have all been published with implementation beginning. Meanwhile, several other States have implemented land-pooling schemes of different kinds. In AP, the way land was acquired for the Amaravati Township project through land pooling is something that should be replicated for all projects requiring land. Though there were challenges these are now hopefully behind us.

THE ADVANTAGES
The advantages of such pooling are obvious.
(i) The land-owner loses land but gets back a portion whose value with road access and proper infrastructure may be several times that of the undeveloped land.
(ii) No single land-owner is a net loser or gainer since everyone in the

neighbourhood loses/gains land equally: no green-eyed spoil-sport!
(iii) Better — area-wide, rather than linear — planning results: utilities, open-spaces and appurtenant infrastructure provisioning can be systematic.
(iv) The alignment of roads and road grids need not be altered to suit vested interests.
(v) Delays due to court cases are avoided.
(vi) The costs of land acquisition could be recouped through ‘betterment levies’ on the lands benefited.
(vii) Road Grids to increase the number of holdings with planned access would lead to moderation in land prices.
(viii) Fragmented government lands can be consolidated into larger parcels. Landowners will need to be partners in an inclusive development process. A situation may well arise where people come forward with voluntary gifts of land for roads realising the benefits due to a corridor (like enhanced land value).
So, instead of payments to the land owners there could also be partnerships and competition (challenge mode) for road projects! This would be something akin to joint development of land by public and infrastructure provisioning departments.

The writer was Secretary, MoPSW, GOI till recently and Principal Secretary, Highways, GoTN earlier. Views expressed are personal

India-Japan mobility partnership rolls along

From high speed rail, the two countries must move to air and logistics to aid tourism and security interests

KE Seetharam

The forthcoming India-Japan Annual Summit in New Delhi from July 1-3, comes at a moment when both countries can move their partnership from infrastructure cooperation to strategic transformation.
The summit is expected to review the full spectrum of bilateral cooperation, including the Mumbai-Ahmedabad High-Speed Rail project, economic security, technology, supply chains and industrial collaboration. This is the right time for Prime Minister Narendra Modi and Japan’s Prime Minister Sanae Takaichi to endorse a bold new idea: a Joint India-Japan Multi-modal Mobility 2036 Initiative.
Japan’s high-speed rail partnership with India is already one of the most visible symbols of trust between the two countries. But the next phase should go beyond the bullet train. India and Japan should build a seamless HSR-to-Airline and Logistic Mobility Corridor linking high-speed rail, airports, regional airlines, metro systems, logistics hubs, digital ticketing, tourism circuits and clean-energy transport. This would convert a rail project into a national mobility platform, supporting India’s economic transformation and Japan’s long-term strategic engagement with India.
A rail-air mobility platform with one ticket, one payment, one baggage

interface and one traveller experience would be a practical example of this vision.
JJapan Airlines, ANA, ZIPAIR, Peach and AirJapan can support India through expanded direct flights, code-share partnerships, airport operations, MRO, cargo logistics, safety systems, digital passenger services and aviation training. JAL is expanding India connectivity through Narita-Delhi and Narita-Bengaluru services, while ANA has a codeshare partnership with Air India and is strengthening India-Japan connectivity. For India, this would bring operational excellence, safety culture and global connectivity. For Japan, it would open one of the world’s fastest-growing aviation and tourism markets.
Integrated HSR-airport-regional airline systems can connect tier-2 and tier-3 cities to national and global markets. This can help MSMEs, industrial corridors, food-processing zones, medical tourism, higher education, logistics parks and regional tourism circuits. India’s 2026 aviation schedule already includes regional carriers such as Alliance Air, FLY91, Star Air and IndiaOne Air, underlining the importance of regional aviation in the next phase of growth. Japan can help make these links financially viable through efficient airport design, low-cost carrier experience, regional route planning and station-area development.



MOBILITY. Looking at the next phase

TOURISM PIVOT
Tourism should be a central pillar. Japan welcomed a record 315,100 Indian visitors in 2025, crossing 300,000 Indian arrivals for the first time. Better air links, affordable carriers and integrated travel platforms can take Indian tourists beyond Tokyo, Kyoto and Osaka to Hokkaido, Okinawa, Tohoku, Kyushu and lesser-known prefectures. Similarly, India can attract more Japanese visitors to Buddhist circuits, Varanasi, Bodh Gaya, Sarnath, Kushinagar, Ayodhya, Rajasthan, Kerala, the Northeast and wellness destinations.
This multi-modal mobility partnership also has a strategic dimension. India and Japan’s Joint Declaration on Security Cooperation calls for deeper defence interoperability, logistics cooperation, cyber defence, maritime security, joint exercises, repair and maintenance cooperation, and sharing of emerging security-risk

assessments. Civilian mobility systems are not military projects, but they can strengthen national resilience. Secure airports, cargo hubs, MRO facilities, rail links, digital logistics platforms and disaster-response networks can support evacuation, humanitarian assistance, medical supplies and emergency movement during crises. In the Indo-Pacific, where natural disasters, maritime disruptions and supply-chain shocks are frequent, connectivity is also security.
Finally, the partnership will strengthen India’s ambition to host the 2036 Olympic and Paralympic Games. Japan’s experience in rail operations, airports, urban transport, crowd management, public safety and major-event logistics can help India build an Olympic mobility model that leaves a permanent legacy. The message is simple: from Bullet Train to Olympic-ready Bharat.
At the summit, the two Prime Ministers could endorse a six-point framework: launch the Joint India-Japan Multi-modal Mobility 2036 Initiative; integrate HSR, airports and regional airlines; deepen Japanese airline participation in India; promote tourism and regional development; link civilian mobility with resilience and Indo-Pacific security; and create an Olympic Mobility and Tourism Readiness Track for 2036.

The writer is an Asian Development Bank Institute Fellow and an Associate Member of The Club of Rome

✉ **LETTERS TO EDITOR** Send your letters by email to bleditor@thehindu.co.in or by post to 'Letters to the Editor', The Hindu Business Line, Kasturi Buildings, 859-860, Anna Salai, Chennai 600002.

Exchange revival
This refers to the Editorial ‘Pointless exercise’, (June 30). Trying to restart the Calcutta Stock Exchange does not make sense today. In the past, people went to a local trading hall to buy and sell shares. Now everyone trades on computers through NSE and BSE from anywhere in India. CSE has seen no trading since 2013 and does not have the money or systems needed to run safely. Building them would cost a lot. Big investors go to large exchanges where it is easier to buy or sell quickly. Small exchanges often have

fewer buyers, so prices can be rigged, as happened in 2001. Instead of spending public money to revive an outdated system, the government should help local businesses and teach people about investing.
Babu Crishna
Bengaluru

Auto concerns
With reference to the news report ‘Sops, Zero registration fee & road tax: Delhi EV policy 2.0 worries ICE vehicle makers’. The policy aims to reduce air pollution by encouraging

the adoption of electric vehicles through these incentives. It also proposes a phased transition away from new petrol-powered two-wheelers and conventional auto-rickshaws over the coming years. The initiative is a significant step towards making Delhi cleaner and more environmentally sustainable. However, its success will depend on the availability of adequate charging infrastructure, affordable electric vehicles, reliable electricity supply, and widespread public awareness. ICE vehicle makers are bound to be

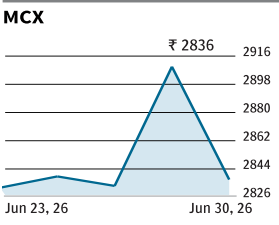
jittery, hence it is more than critical that there is no ambiguity or change of stance later by the Delhi government.
Bal Govind
Noida

India-Japan ties
Apropos ‘Mapping a Decade of India-Japan Convergence’ (June 30). The growing partnership between India and Japan offers opportunities that extend well beyond trade. Cooperation in infrastructure, technology, resilient supply chains and regional security can deliver



QUICKLY.

UTI Mutual Fund buys nearly 15 lakh MCX shares



New Delhi: UTI Mutual Fund has bought nearly 15 lakh shares of commodity derivatives bourse Multi Commodity Exchange (MCX) for ₹425 crore through an open market transaction, according to bulk deal data on the NSE. UTI MF purchased 14,65,941 shares representing a 0.57 per cent stake in MCX. The transaction was executed on Monday at an average price of ₹2,899.23 apiece, taking its value to ₹425.01 crore. Details of the sellers of MCX's shares could not be ascertained on the NSE. **PTI**

Axis MF launches daily SIP of ₹10 across 10 schemes

Mumbai: Axis Mutual Fund has launched ‘Rozana SIP’, which enables investors to start with low-ticket investments starting from just ₹10 per scheme per day, across different Axis MF schemes. Rozana SIP is available for investors to invest across up to 10 Axis MF schemes, offering built-in diversification through a simple setup. Investors can begin by selecting a minimum of two schemes, investing ₹10 per scheme per day, and scale up to 10 schemes based on their preferences. Boniface Noronha, Head of Digital Business, Axis MF, said the fund house has always focused on making investing more inclusive and convenient for a broader set of investors. “With Rozana SIP, we are building on this philosophy by delivering a transparent and investor-first experience,” Noronha said. **OUR BUREAU**

Delhi EV policy ignites sharp rally in Ather Energy and Ola Electric

TURBOCHARGED. Only electric auto-rickshaws will be registered in city from Jan, 2-wheelers from April 1, 2028

Madhu Balaji
Bengaluru

Shares of EV makers such as Ather Energy, Ola Electric Mobility, TVS Motor and Bajaj rallied sharply after the Delhi Cabinet approved the Electric Vehicle Policy, 2026. On Monday, the Delhi Cabinet approved the Delhi Electric Vehicle Policy, 2026, which said only electric auto-rickshaws will be registered in the National Capital from January 1, 2027. The policy also mandates that only electric two-wheelers will be registered from April 1, 2028. Besides, the policy provides purchase incentives for electric vehicles priced below ₹30 lakh through a 100 per cent ex-

emption on road tax and registration fees.

STRUCTURAL SHIFT Naveen Gupta, Founder & CEO, Trev Mobility, said Delhi’s new EV policy marks an important step towards accelerating the transition from conventional fuel-based mobility to cleaner, more sustainable transportation. “The focus on incentives for electric vehicles, fleet electrification, and reducing dependency on traditional fuels reflects the growing need for a structural shift in how cities move.” Atul Auto, after soaring over 4 per cent to ₹495.40, closed at ₹481.80, up 1.46 per cent. TVS Motor Company closed a tad higher at ₹3,406.60.

On the move

	Close (₹)	% gain	Today's high (₹)
Ola Electric	43.76	8.37	44.95
Ather Energy	1,140.55	5.24	1,147.40
Bajaj Auto	9,716.00	0.89	9,750.00
TVS Motor	3,460.60	0.11	3,509.80
Uno Minda	1,087.80	-0.32	1,108.40
Atul Auto	481.80	1.46	495.40
M&M	3,068.80	-0.78	3,122.90
Minda Corp	696.80	3.63	701.00

Bajaj Auto traded flat after scaling an intra-day high of ₹9,686. However, Ola Electric and Ather (it scaled a new peak at ₹1,147.40), stole the limelight with gains of 8.37 per cent and 5.24 per cent.

According to SBI Securities, stocks that stand to benefit include Ather Energy, TVS Motor Company, Atul

Auto, Bajaj Auto, Sona BLW, Minda Corp and Uno Minda. The policy could have a cascading effect, prompting other States to adopt similar measures, said Emkay Global Research.

Ather stands out as a key beneficiary, given its growing focus on expanding beyond South India, supported by the upcoming EL platform

aimed at the mass-market segment, it said. “Among 2W incumbents, EIM (Royal Enfield) and HMCL appear most vulnerable due to their domestic-heavy franchises and higher exposure to motorcycles. TVSL/BJAUT are better insulated given their higher export exposure and rapidly growing E-2W franchise; both are also gaining ground in E-3Ws. In E-PVs, M&M and TMPV are better placed,” it added.

According to Gupta, policies like Delhi’s EV framework provide the necessary push, but the real transformation will happen when industry players, technology providers, and mobility operators work together to solve the everyday challenges of urban transportation.

PE/VC investments fall 59% in May to lowest level since Nov 2023: IVCA-EY

Our Bureau
Mumbai

Private equity and venture capital (PE/VC) investments in India fell 59 per cent year-on-year in May to \$2.1 billion across 76 deals, the lowest monthly investment activity since November 2023 in both value and deal count, as geopolitical uncertainties and valuation gaps weighed on deal-making. According to the latest IVCA-EY monthly report, total investments stood at \$2.1 billion, down 24 per cent from \$2.7 billion through 83 transactions in April 2026. Investments

were at \$5.1 billion across 118 deals a year ago.

LARGE DEALS The largest investment was the launch of North Star, a \$300 million renewable energy platform by British International Investment and Copenhagen Infrastructure Partners. Geopolitical tensions escalated in April and May, prompting investor caution and subdued PE/VC investment activity. “Although we appear to be approaching an end to the Iran conflict, there is still a lot of uncertainty and bid-ask spreads between seller expectations and buyer valuations continue to

pose hurdles, making deal closures protracted and often delayed,” said Vivek Soni, Partner and National Leader, Private Equity Services, EY. “With the Indian government responding to investor concerns, we remain optimistic that PE/VC deal activity will regain momentum as global uncertainties begin to ease,” he said. Buyout transactions were the largest investment category during the month, attracting \$840 million, followed by growth investments at \$560 million. Startup investments fell sharply to \$340 million, down 68 per cent from a year earlier.

SEBI proposes 75% investor approval for AIF related-party transactions

Our Bureau
Mumbai

The Securities and Exchange Board of India has proposed a wide-ranging overhaul of regulations governing Alternative Investment Funds (AIFs), including a revised investor consent framework and the replacement of the term “associate” with “related party”. SEBI proposed a more standardised approach to obtaining investor approvals for AIF-related activities. Under the proposal, most material decisions would require the approval of at least 75 per cent of investors by

value. SEBI also suggested changes to the methods through which investor consent may be obtained, with the objective of providing greater flexibility while safeguarding investor interests. A key proposal relates to transactions involving entities linked to the fund manager or sponsor. AIFs would be required to obtain investor approval before investing in or entering into transactions with related parties (RPs) of the manager or sponsor, replacing the current requirement that applies to “associates”. Any such investment or transaction with a RP would require the consent of 75 per

Nifty falls for 3rd day as IT drags, broader markets hold firm

Anupama Ghosh
Mumbai

Benchmarks ended lower for the third straight session on Tuesday, the monthly expiry day, as a sharp sell-off in IT stocks and persistent caution over US-Iran talks in Doha offset resilience in the broader market.

“Markets traded in a volatile yet narrow range on the monthly expiry day and settled marginally lower, extending the ongoing consolidation phase,” said Ajit Mishra, SVP, Research, Religare Broking. The Nifty 50 opened with a gap-up at 24,032.05 but failed to hold the gains, swinging between 24,035.55 and 23,829.20 before closing at 23,865.75, down 80.50 points. The Sensex fell 250 points, to settle at 76,478. Bank Nifty also slipped, losing 184.45 points to 57,542.90. India VIX eased marginally by 0.07 per cent

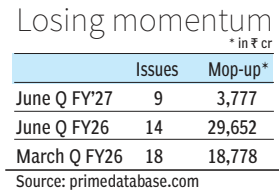
to 13.60, signalling stable volatility.

TECH SELL-OFF Sectorally, IT was the biggest drag, falling nearly 2.5 per cent on concerns that elevated US interest rates could delay global clients’ technology spending. The other decliners were PSU Banks, Media, Banking and FMCG. Auto stocks came under pressure after the Delhi government approved its new EV Policy with Eicher Motors falling nearly 5 per cent on concerns over Royal Enfield’s limited EV presence. On the upside, Realty, Chemicals and Consumer Durables gained over 1 per cent, with Pharma also outperforming. Broader markets fared better, with the Nifty Midcap 100 gaining 0.4 per cent and the Nifty Smallcap 100 advancing 1 per cent. The market breadth stayed positive with 1,919 advancing stocks against 1,383 decliners.

Fundraising through IPOs plunges 89% in June quarter

Suresh P Iyengar
Mumbai

Fundraising through mainboard initial public offerings (IPOs) by India Inc witnessed a sharp decline in the June quarter, even as offer-for-sale (OFS) issuances by promoters and the government surged significantly. The amount raised through IPOs fell 89 per cent year-on-year (y-o-y) to ₹3,777 crore during the June quarter, compared with ₹29,652 crore in the corresponding period last year, according to data from Prime Database. The number of IPOs also declined to nine from 15 a year ago, with no mainboard IPO hitting the market in May. On a sequential basis (quarter-on-quarter), IPO fundraising dropped 80 per cent from ₹18,778 crore raised in the March quarter. In contrast, funds mobilised through OFS nearly doubled to ₹16,568 crore



during the June quarter from ₹8,333 crore in the year-ago period. Sequentially, OFS issuances rose 56 per cent from ₹10,637 crore in the March quarter. **DIVESTMENT DRIVE** The sharp increase in OFS proceeds was largely driven by the government’s divestment programme in Coal India, Central Bank of India, NHPC, NLC India, General Insurance Corporation and Indian Railway Finance Corporation, apart from Bosch Home Comfort India. Pranav Haldea, Managing Director, Prime Database Group, said positive developments over the past two to three weeks were reflected in the rally in secondary mar-

kets, encouraging a handful of IPO launches and fresh filings. “While healthy subscription levels and strong listing performance will provide a positive signal, a sustained recovery in the IPO market will depend on a broader revival in secondary markets,” he said. Prateek Indwar, Head of Equity Capital Markets, In-Cred Capital, said continued domestic liquidity remains the structural backbone of India’s capital markets, helping shield them from global uncertainties. “The net positive institutional inflows seen in June demonstrate that domestic investors have significantly reduced India’s traditional dependence on foreign capital to anchor new public listings,” he said. Sneha Poddar, Vice-President (Research), Wealth Management, Motilal Oswal Financial Services, said fresh IPO supply remained relatively subdued due to valuation concerns and intermittent market volatility.

OYO parent Prism files ₹6,650 crore IPO; Agarwal, SoftBank retain stakes

Press Trust of India
New Delhi



Travel tech unicorn Prism, the parent entity of OYO, has filed its updated DRHP with SEBI for a proposed IPO of up to ₹6,650 crore through an issue of shares, with no offer-for-sale component, allowing founder Ritesh Agarwal, SoftBank and other existing shareholders to retain their stakes. The company also plans a pre-IPO placement of securities worth up to ₹1,330 crore which, if completed, will be adjusted against the size of the issue and cannot exceed 20 per cent of the proposed offering.

largest shareholder with a 40.04 per cent stake in Prism, while Agarwal’s aggregate holding, including his direct stake and investments through RA Hospitality and Patient Capital, stands at 30.52 per cent. Together, the promoters own 70.56 per cent of the company’s pre-issue paid-up capital on a fully diluted basis. Besides the promoters, existing investors, including Microsoft, Airbnb, Khaza-

nah, Peak XV, Lightspeed and others, are also not selling shares in the IPO. Prism plans to utilise up to ₹4,987.5 crore from the initial public offering (IPO) proceeds to repay or prepay borrowings availed by certain subsidiaries under the Term Loan B (TLB) facility and other debt, as part of efforts to strengthen its balance sheet. As of December 31, 2025, the company’s net borrowings stood at ₹6,828 crore. The TLB had been raised to finance strategic acquisitions, refinance debt across acquired businesses and support international expansion. The facility carries a final maturity in 2029, with periodic interest payments and scheduled amortisation before the remaining principal becomes due at maturity.

BROKER’S CALL.

Emkay Global

GNG ELECTRONICS (BUY)
Target: ₹725
CMP: ₹624.95
We initiate coverage on GNG Electronics, India’s largest refurbisher of laptops/desktops operating through its brand ‘Electronics Bazaar’, with BUY and DCF-based TP of ₹725 (implying 27 per cent upside and 30x June 2028E PER). Over the past decade, GNG has built a strong competitive moat in a high-growth, profitable and ESG-aligned business with a global footprint. Its differentiated model is anchored on the motto: ‘Buy Better, Refurbish Better, Sell Better’. GNG has developed a resilient sourcing network (720+ procurement partners, including ITAD players), providing access to high-quality devices that are refurbished through multistage processes with a ‘repair over replacement’ approach. This has led to low warranty instances (<2 per cent of revenue) and minimal warranty expenses (about 0.1 per cent) backed by an extensive service network. Consequently, GNG offers industry-leading warranties (1-3 years) and enjoys strong brand credibility. This is further aided by a large customer base (about 4,900 customer touchpoints across 46 countries). To strengthen distribution, GNG has partnered with national distributors such as Ingram Micro India/Supertron Electronics. We build in revenue/EBITDA/EPS CAGR of 24 per cent/30 per cent/37 per cent over FY26-29E, bolstered by GNG’s strong competitive position, favourable long-term industry tailwinds and a medium-term supply-demand mismatch led by memory chip shortages and the affordability gap in new laptops.

Anand Rath Research

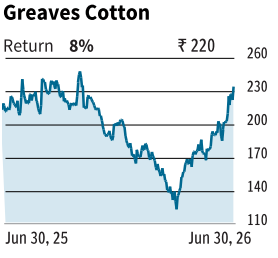
VIYASH SCIENTIFIC (BUY)
Target: ₹310
CMP: ₹276.70
We attended the Investor Day of Viyash Scientific (formerly Sequent Scientific) to have insights into its strategies and growth outlook. Viyash Scientific, post-merger, is now a vertically-integrated company across Animal and Human Health segment, aided by a strong backward and forward capabilities spanning intermediates, APIs and Formulations. The management aspires to achieve about \$1-billion revenue by 2032. Companion Animal (CA) segment is the company’s highest growing segment with the management aspiring to achieve \$150-200 million revenue by 2032. The management highlighted strategies to grow CDMO business through: Innovator Life Cycle Management targeting 20 per cent growth with innovators including Pfizer and GSK; specialty and generics business guided to triple over the next five years through service to the EU specialty players lacking R&D/manufacturing capabilities. The current pipeline includes 15 partners, with 28 projects (nine first to file) with co-investment (50:50) in five-six products. This is a longer-term play with progress yet to become tangible. FY26 was a transformational year with business integration complete. The management targets 13-15 per cent revenue growth in the near term. Longer term, growth is expected to come from CA opportunities, patent-expiries in 2027+ and CDMO specialty co-investment. Keeping our EBITDA estimate broadly unchanged for FY27/28e, we maintain Buy rating on the stock with a TP of ₹310, valuing it at 14x FY28e EV/EBITDA.

businessline is not responsible for the recommendations sourced from third party brokerages. Reports may be sent to: **blmarketwatch@gmail.com**

TODAY’S PICK.

Greaves Cotton (₹220.20): BUY

Gurumurthy K
bl. research bureau



The short-term outlook is bullish for Greaves Cotton. The stock has been in a strong uptrend since April. The 5 per cent rise on Tuesday marks the end of the one-week consolidation. It also indicates the resumption of the broader uptrend. Near-term supports are at ₹209 and ₹204. We expect the stock to sustain above ₹209 itself. Fresh buyers are likely to come into the market and limit the downside. Greaves Cotton share price can rise to ₹245 in the coming weeks. Traders can buy Greaves Cotton shares now at ₹220. Accumulate on dips at ₹212.

Keep the stop-loss at ₹202. Trail the stop-loss up to ₹224 as soon as the stock goes up to ₹229. Revise the stop-loss higher to ₹231 and ₹236 when the price touches ₹235 and ₹240 respectively. Exit the long positions at ₹243. Note: The recommendations are based on technical analysis. There is a risk of loss in trading

Day trading guide

24040

» Nifty 50 Futures

S1	S2	R1	R2	COMMENT
23880	23750	24060	24145	Take fresh short positions now. Keep the stop-loss at 24080

₹800

» HDFC Bank

S1	S2	R1	R2	COMMENT
794	791	810	820	Go long on dips at 796. Stop-loss can be kept at 792

₹1006

» Infosys

S1	S2	R1	R2	COMMENT
995	980	1020	1035	Take fresh shorts below 995 with a stop-loss at 998

₹287

» ITC

S1	S2	R1	R2	COMMENT
285	283	290	292	Wait for a rise. Go short at 289 with a stop-loss at 291

₹235

» ONGC

S1	S2	R1	R2	COMMENT
232	227	238	241	Go short on a rise at 237. Stop-loss can be kept at 239

₹1294

» Reliance Ind.

S1	S2	R1	R2	COMMENT
1290	1250	1310	1320	Go short only below 1290. Keep the stop-loss at 1295

₹1030

» SBI

S1	S2	R1	R2	COMMENT
1020	1000	1040	1055	Take fresh shorts below 1020 with a stop-loss at 1025

₹2033

» TCS

S1	S2	R1	R2	COMMENT
2000	1950	2055	2080	Go short on a rise at 2045. Stop-loss can be kept at 2065

S1, S2: Support 1 & 2; R1, R2: Resistance 1 & 2.

S1, S2: Support 1 & 2; R1, R2: Resistance 1 & 2.

Nifty 50 Movers					▼ 80.50 pts.
	Close(₹)	Pts	PE	WN(%)	
Maruti Suzuki	14115.00	20.03	30.23	1.68	
Bajaj Finance	1004.75	13.29	32.36	2.46	
Titan	4404.00	11.43	77.06	1.66	
Eternal Ltd.	264.60	8.21	697.67	1.75	
Bharti Airtel	1852.00	7.24	33.36	5.15	
Adani Ports	1810.20	5.49	32.63	1.22	
Adani Enter	3036.00	4.63	39.69	0.80	
Tata Motors PV	352.20	3.26	4323.64	0.67	
Shriram Finance Ltd.	1042.15	2.91	24.46	1.34	
NestleIndia	1405.20	2.80	77.44	0.92	
Bajaj Finserv	1780.20	2.64	14.49	0.94	
IntGlobeAvi	5368.40	2.63	0.00	1.11	
Bajaj Auto	9716.00	2.08	25.68	0.98	
Trent Ltd.	3282.60	1.77	101.69	1.07	
Grasim Ind.	3100.00	1.63	20.48	1.00	
Cipla	1465.40	1.39	30.66	0.75	
SBI Life	1765.70	1.01	71.70	0.73	
ONGC	234.90	0.72	5.93	0.83	
Apollo Hosp	8682.00	0.61	62.34	0.82	
NTPC	356.65	0.57	12.55	1.55	
Bharat Elec	411.80	0.16	49.65	1.35	
PowerGrid Corp	286.30	0.05	16.72	1.19	
Jio Financial Services Ltd.	1405.20	-0.87	100.00	0.71	
JSW Steel	1226.40	-1.23	11.76	1.05	
HDFC Life	575.85	-1.74	64.98	0.57	
Asian Paints	2635.70	-2.09	57.53	1.09	
UltraTech Cement	11233.00	-2.14	40.50	1.22	
Hindalco	956.60	-2.28	16.05	1.27	
Dr Reddys Lab	1357.10	-2.48	27.24	0.76	
Tata Steel	148.06	-2.73	21.57	1.42	
Sun Pharma	1862.50	-2.84	38.83	1.80	
Coal India	439.05	-3.03	8.71	0.96	
HDFC Bank	797.95	-3.18	15.51	1.18	
Wipro	170.39	-3.19	13.49	0.45	
Max Healthcare	1129.25	-3.36	76.19	0.77	
Tech Mahindra	44.08	-2.89	28.65	0.82	
M&M	3068.80	-4.72	20.49	2.51	
Kotak Bank	392.25	-5.22	20.23	2.64	
TataConsumerProduct	1075.60	-5.29	68.82	0.64	
L&T	4143.40	-5.57	30.07	4.44	
Hind Unilever	2118.20	-6.41	47.03	1.72	
Axis Bank	1345.60	-6.86	15.77	3.54	
HCL Tech	1071.80	-7.04	17.47	1.03	
ITC	286.95	-7.89	17.11	2.53	
State Bank	1026.90	-8.30	10.94	3.88	
Reliance Ind	1293.90	-10.47	18.29	8.00	
Eicher Motors	7073.50	-10.61	35.21	0.89	
TCS	2031.50	-14.80	14.86	1.90	
CICI Bank	1375.20	-19.40	21.70	9.01	
Infosys	1000.40	-27.80	13.77	3.21	

Pts: Impact on index movement

Nifty Next 50 Movers					▲ 119.15 pts.
	Close(₹)	Pts	PE	WN(%)	
Solar Industries	18696.00	64.08	97.42	1.86	
Cummins India	5659.50	46.70	66.43	3.13	
Hdfc Amc	2653.20	27.83	39.79	2.21	
Siemens Energy India	3883.30	25.75	100.14	1.31	
HindustanAeronautics	4381.20	21.34	32.14	3.40	
Cholamandalam&Fin	1789.80	20.02	29.16	3.17	
Indian Hotels Co.	713.95	17.75	45.22	2.56	
Bpcl	303.55	16.33	5.10	2.52	
Britannia Ind	5146.50	15.36	48.86	2.48	
Varun Beverages	507.55	13.82	53.49	2.84	
MacroTech Developers	955.25	12.76	27.82	1.08	
AvenueSuper	4380.70	11.19	96.21	2.89	
Mazagon Dock	2496.60	11.08	36.55	0.78	
Hindus Zinc	533.15	10.78	16.29	1.05	
Dif	62.005	9.96	34.77	1.63	
Gail (India)	1734.86	9.80	15.04	1.91	
Divis Lab	6579.00	8.00	68.01	3.42	
United Spirits	1350.40	7.70	52.61	1.63	
Sensit	359.96	6.94	38.22	2.89	
Hyundai Motor India	190.955	5.39	28.51	1.11	
Adani Energy Solutions	1491.40	4.81	74.88	2.00	
Sherc Chemet	22520.00	4.11	52.10	1.38	
Tvs Motor Cmp	34660.60	3.62	51.60	3.32	
Indian Oilcorp	139.38	2.19	45.11	2.13	
Bajaj Holdings	10603.00	1.40	120.05	1.88	
Boji	380.00	0.38	42.50	1.07	
Indian Railway Finance Corp	90.53	-0.47	16.88	0.74	
Power Finance	424.30	-0.64	4.16	2.53	
Tata Motors Cv	422.95	-0.92	51.44	3.61	
Bank Of Baroda	272.40	-2.17	7.02	2.07	
Punjab Natk Bank	106.69	-2.72	6.64	1.50	
Canara Bank	125.52	-3.35	6.37	1.75	
Rural Infra	380.00	-4.21	5.07	1.03	
Ambuja Cements	412.85	-4.38	19.07	0.98	
Tata Capital	365.90	-4.72	31.76	0.75	
Tata Power	385.50	-4.89	24.07	2.63	
Pidilint	1592.70	-6.26	65.61	2.02	
Yuzufsciences	1112.60	-6.38	21.85	1.14	
Muthoot	2997.30	-7.51	11.34	1.31	
Gas Power & Ind Sol	592.15	-8.24	125.31	2.67	
Indiabulls	1054.00	-8.68	28.86	1.65	
AdaniEnergygreeny	1492.20	-10.12	123.70	2.05	
Torrent Pharma	140.040	-11.53	73.14	1.98	
Unilever Bank	172.43	-12.06	6.77	1.36	
Godrej Consumer	1010.00	-14.01	55.52	1.66	
Adani	7031.00	-14.91	94.29	1.51	
Verbata	280.75	-18.88	6.92	1.95	
SewardIndothersonInternat	148.11	-31.71	38.26	2.59	
Adani Power	223.77	-39.97	33.27	3.80	
Ltintindr	3538.00	-40.30	21.06	1.34	
Pts: Impact on index movement					

QUICKLY.

Kotak buys Deutsche Bank's retail business



Frankfurt: Deutsche Bank said on Tuesday that Kotak Mahindra Bank would acquire its retail banking and wealth management business in India, as the German bank aims to streamline operations and re-deploy capital. Kotak Mahindra said the price was around \$30 million. REUTERS

Govt retains small savings rates for ninth quarter

New Delhi: The government on Tuesday left interest rates unchanged for various small savings schemes, including PPF and NSC, for the ninth straight quarter. "The rates of interest on various Small Savings Schemes for the second quarter of FY 2026-27, starting from July 1, 2026, and ending on September 30, 2026, shall remain unchanged from those notified for the first quarter (March 1, 2026, to June 30, 2026) of FY 2026-27," the Finance Ministry said.

India backs open-source models amid US AI curbs

INDIGENOUS PUSH. Bets on open-source and home-grown AI models to build next-gen systems

S Ronendra Singh
New Delhi

While the US navigates approval processes for restrictions on advanced artificial intelligence models like Anthropic's Fable 5 and Mythos 5, India is executing a parallel strategy. According to a senior government official on Tuesday, India is focusing heavily on open-source and home-grown AI models, actively supporting local developers to build next-generation systems. Explaining that the US wanted to place some restrictions on AI before it becomes widely distributed, the official said, "The restrictions were not only for India, but worldwide."

US CONTROL

Declining to elaborate on Washington's tighter controls on frontier AI models from leading US tech companies, the senior IT Ministry official said that India's own strategy is to back indigenous AI development while making use of open-source models that are capable of handling many func-



SUPPORTING DESI PLAYERS. Under the IndiaAI Mission, the government is supporting the development of 20 Indian AI models and will continue working with domestic developers

tions and workload capabilities of frontier AI models. "Clearly there are some capabilities that AI technology has, especially in the cybersecurity space, in terms of testing of vulnerabilities of existing software code, which are useful and which we need to have the capacity to do it," the official said. He added that while top-tier frontier models might represent 100 per cent capability, several open-source and home-grown Indian models are currently being developed that offer roughly 60 per cent to 80 per cent of that frontier capability.

INDIA'S AI STRATEGY

The official emphasised that India's AI strategy focuses on creating tangible economic impact rather than being driven by stock market excitement. Commenting on recent fluctuations in global tech stocks, the official noted that current valuations and massive investment optimism are largely concentrated around a handful of companies specialising in advanced chips, models, and infrastructure. On asked about Indian companies using Chinese open AI models due to lower

costs, which could be vulnerable to national security, the official said, "The important thing that we have to realise is, especially companies which are using them, they should be concerned about whether what they use are safe. That is something which is more important." Under the IndiaAI Mission, the government is supporting the development of 20 Indian AI models and will continue working with developers to improve their capabilities and help narrow the gap with leading systems, the official added.

Industry pushes major SEZ reforms as govt panel starts consultations

Amiti Sen
New Delhi

An inter-ministerial committee on Special Economic Zone (SEZ) reforms on Tuesday began stakeholder consultations on a proposed overhaul of the regime, with industry seeking sweeping changes, including allowing SEZ units to sell goods in the domestic market on a duty-foregone basis, accepting rupee payments for domestic services, easing reverse job work norms and simplifying compliance. The committee on SEZ reforms and harmonisation of export promotion schemes was constituted by the Department of Commerce in February under the chairmanship of Ajay Bhadoo, Additional Secretary.

The consultation, organised by the Export Promotion Council for EOUs and SEZs (SEZEP) at Vanijya Bhawan, was attended by over 100 representatives from SEZ developers, SEZ and Export Oriented Unit (EOU) operators, Manufacturing and Other Operations in Warehouse Regulations (MOOWR) units, domestic tariff area (DTA) companies, IT and services firms, industry associations and advisory firms.

Stakeholders also urged the government to allow SEZ units to receive payments in Indian rupees for services supplied to domestic customers

The industry strongly backed allowing SEZ units to supply goods to the domestic tariff area on a duty-foregone basis, similar to the EOU and MOOWR schemes. "Under the proposal, SEZ units would reverse only the customs duty benefits availed on imported inputs instead of paying duties on the finished product, a practice followed in several leading global free-zone models," a source tracking the discussions said. Stakeholders also urged the government to allow SEZ units to receive payment in Indian rupees for services supplied to domestic customers. "The existing requirement of payment in foreign exchange has become a major hurdle for sectors such as aerospace, defence, maintenance, repair and overhaul (MRO) and advanced engin-

earing services, forcing Indian companies to source such services from overseas," the source said.

OPERATIONAL EASE

Industry also sought amendments to SEZ rules to permit reverse job work for DTA companies without linking it to exports, arguing that it would help build domestic capabilities in high-technology sectors. Among other recommendations, stakeholders proposed allowing zero-duty domestic supplies by SEZ units for products currently imported from China and countries with which India has free trade agreements, to promote import substitution and support the Make in India initiative. The discussions also covered harmonisation of the EOU and MOOWR schemes, measures to promote Free Trade Warehousing Zones (FTWZs) as logistics hubs, and ease-of-doing-business reforms. Industry representatives noted that investment interest in SEZs had weakened after the withdrawal of direct tax incentives and urged the government to fast-track reforms proposed by the Baba Kalyani Committee and subsequent legislative initiatives.

Commodity cost inflation to continue for a while: HUL chief

Our Bureau
Mumbai

Hindustan Unilever (HUL) doesn't see an immediate end to commodity cost inflation despite a drop in crude oil price and is sharpening its efficiency programmes to protect its margins and avoid large rate increases, Non-Executive Chairman Nitin Paranjpe said on Tuesday. Addressing shareholder questions at the annual general meeting, Paranjpe said commodity costs saw a significant impact as crude oil price crossed \$100 a barrel. While the crude oil price has now declined, he said it will take a while for commodity cost inflation to come back to normalcy.

India's largest fast moving consumer goods company is driving cost efficiencies by looking at every line of the profit and loss account. "We try to ensure that the price increases are less than the cost increases the company faces through efficiency programmes," he said. HUL continues to see significant growth opportunities in India over the medium-

Growth in rural areas is little faster, but we are not fixated on what happens in one quarter

NITIN PARANJPE
Chairman, HUL



to-long term, but business will continue to face volatility in the short term.

5-POINT STRATEGY

Paranjpe said the company is well poised to deal with the challenges and has chalked out a five-point strategy to capture growth and build resilience. These include leveraging AI, use of science-led innovation in materials, building resilient and flexible supply chains, and understanding evolving consumer behaviour. Paranjpe said the company generates large amounts of cash and that would be used to grow business. In February, it an-

nounced a ₹2,000-crore investment to expand capacity in fast-growing premium categories across beauty and wellness and home care liquids. "Of course, capital will be deployed for merger and acquisitions," he added. The company will continue its premiumisation strategy and has also set up a dedicated business unit to compete with e-commerce platforms. "Growth rates in rural and urban markets are steady. Growth in rural areas is little faster, but these things keep changing from time to time and we are not fixated on what happens in one quarter. We see secular trends going forward," he remarked.

₹1 lakh cr disbursed to small enterprises under ECLGS 5.0: MSME Secy

Our Bureau
New Delhi

Credit support of nearly ₹1 lakh crore under the Emergency Credit Line Guarantee Scheme (ECLGS) 5.0, launched in May this year, has strengthened the financial resilience of India's micro, small and medium enterprises (MSMEs), helping the sector navigate recent global disruptions, including the West Asia crisis, MSME Secretary Bharat Khara said on Tuesday. "Our effort has been to ensure that MSMEs don't suffer unduly in such times," he said, referring to the disruptions caused by the recent geopolitical tensions in West Asia. Highlighting the broader expansion of institutional finance, Khara said credit outstanding to the MSME sector had increased from around ₹10 lakh crore in 2014 to ₹37 lakh crore currently.



Bharat Khara, MSME Secretary

delayed payments remain one of the biggest challenges facing MSMEs, as they adversely affect cash flows and liquidity. However, the Trade Receivables Discounting System (TReDS) had emerged as an effective mechanism to address this issue through invoice discounting. "TReDS has been a very successful model, and invoice discounting through the platform is a very good solution for delayed payments," he said. Financial institutions make advance payments to MSMEs once invoices are uploaded and recover the dues from buyers later.

Windfall levy on petrol hiked; lowered on diesel, ATF

Our Bureau
New Delhi

Export levy on petrol has been hiked, while that on diesel and jet fuel (aviation turbine fuel or ATF) has been lowered, the Finance Ministry notified on Tuesday. This will not impact domestic retail prices. According to the notification, export levies (Special Additional Excise Duty (SAED)/Road and Infrastructure Cess (RIC)) on the exports of petrol have been raised to ₹4 a litre from ₹1.50. However, the levies on diesel will now be ₹8.50 a litre from ₹14 and on jet fuel, it will be ₹7.50 a litre from ₹12.50. The new rates will be effective for the fortnight starting July 15. Further, at the time of imposition of the export levy, exemption was provided for exports of petrol, diesel and ATF made by public sector oil companies to Nepal, Bhutan, Bangladesh and Sri Lanka. The exemption has now been extended to exports made by public sector oil companies to Mauritius and Maldives.

Modi emphasises *aatmanirbharta* and deregulation governance

Shishir Sinha
New Delhi

Prime Minister Narendra Modi on Tuesday stressed for breaking the departmental silos to further improve the overall governance. Modi held a meeting with Secretaries of various Union

Ministries and Departments. "Prime Minister stressed the importance of adopting a whole-of-government approach and breaking departmental silos," an official said. Further, highlighting the importance of integrated planning and coordination, he encouraged wider utilisation of the PM GatiShakti as an effective platform for

inter-departmental coordination and informed decision-making, the official added. Furthermore, the discussion focussed on two key themes. The first was 'Deregulation and other reforms for Ease of Doing Business and Ease of Living' while the second was 'Promoting Aatmanirbharta'. Officials said that during the interaction,

the Secretaries outlined the major steps taken by their Ministries and Departments in line with the two key themes. They highlighted ongoing efforts to translate

the Prime Minister's vision into actionable outcomes, while discussing sector-specific challenges and outlining strategies to enhance governance.

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CIN: U24299KL1951SGC001237, GSTIN : 32AAACT6207B1Z1
Email: purchase@tckerala.com, Website: www.tckerala.com

E-TENDER

Invites E-Tenders for the following through: <https://etenders.kerala.gov.in>. All relevant details, Tender Document and Corrigendum if any, can be downloaded from the above website only.

Sl. No.	Tender ID	Description	Last Date of Submitting Offer
1	2026_TCCL_857759_1	Supply, Commissioning and Warranty Support of SPECTRO PHOTOMETER - ICP/OES	15.07.2026
2	2026_TCCL_858108_1	Design, Supply, Erection, Testing and Commissioning of S00TR (2 x 250 TR) CHILLED WATER SYSTEM	15.07.2026

Sd/- Assistant General Manager (Materials)

Geojit Financial Services Ltd.
Reg. Office: 34/659-P, Civil Line Road, Padivattom, Kochi – 682024
CIN: L67120KL1994PLC008403,
Ph: 0484-6411000, Fax: 0484 - 2979695,
Email: mailus@geojit.com, Website: www.geojit.com

NOTICE OF 32nd ANNUAL GENERAL MEETING

Notice is hereby given that the 32nd Annual General Meeting (AGM) of the Members of the Company will be held on Friday, 24th July, 2026 at 4.00 p.m. through Video Conferencing (VC) or other audio visual means (OAVM) in compliance with all the applicable provisions of the Companies Act, 2013 and the Rules made there under and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with the Ministry of Corporate Affairs General Circular No. 20/2020 dated 05th May, 2020 along with other applicable Circulars issued by the MCA and SEBI to transact the businesses set out in the notice calling the AGM. Facility for appointment of proxy will not be available for the AGM and hence the requirement of attaching the Proxy Form and Attendance Slip has been dispensed herewith and are not annexed to the Notice of 32nd AGM.

The Notice of the 32nd AGM and the Annual Report including the Financial Statements for the year ended 31st March, 2026 will be sent only by e-mail to all those Members, whose email addresses are registered with the Company or with their respective Depository Participants, in accordance with MCA Circular(s) and SEBI Circular. Members can join and participate in the 32nd AGM through the VC/OAVM facility only. The instructions for joining the 32nd AGM and the manner of participation in the remote electronic voting or casting vote through the e-voting system during the 32nd AGM are provided in the Notice of the 32nd AGM. The attendance of the Members attending the AGM through VC/OAVM will be counted for the purpose of ascertaining the quorum under Section 103 of the Companies Act, 2013. The Notice of the 32nd AGM and the Annual Report will also be made available on the Website of the Company at www.geojit.com and in the Website of BSE Limited at www.bseindia.com and National Stock Exchange of India at www.nseindia.com.

Members whose e-mail addresses are not registered with the depositories can register the same for obtaining login credentials for e-voting for the resolutions proposed in this notice in the following manner:

- **For Physical Shareholders** - Please provide necessary details like Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self-attested scanned copy of PAN card), AADHAR (self-attested scanned copy of Aadhar Card) by email to Company email ID: companysecretary@geojit.com or to RTA of the Company at coimbatore@in.mpms.mufg.com;
- **For Demat Shareholders** - Please update your email id and mobile no. with your respective Depository Participant (DP). This is mandatory while E-voting and joining virtual meetings through the Depository;
- The members shall update their bank account details with the Company at email ID: companysecretary@geojit.com or to RTA of the Company at coimbatore@in.mpms.mufg.com or with your respective Depository Participant (DP) for the purpose of receiving dividend directly in bank accounts through Electronic Clearing Service (ECS) or any other means;

The above information is being issued for the information and benefit of all the Members of the Company and is in compliance with MCA Circular/s and the SEBI Circular.

For Geojit Financial Services Ltd
Sd/-
Liju K Johnson
Company Secretary

Place: Kochi
Date: 01.07.2026

APPOINTMENTS

भारतीय रिज़र्व बैंक सर्विसेज बोर्ड
RESERVE BANK OF INDIA SERVICES BOARD

Advt. No. RBI/SB/BA/02/2026-27

Lateral Recruitment of Site Engineers on Full-Time Contract Basis in Reserve Bank of India (RBI)

Applications are invited for Lateral Recruitment of Site Engineers on Full-Time Contract Basis to the following posts in the Reserve Bank of India:

Name of Department - Premises Department, Central Office				
Sr. No.	Name of the Post	Level (Equivalent Grade)	Vacancies	Job Location*
1	Consultant Site Engineer (Civil)	Level - 2 (Grade 'B')	1	Rajpur
2	Consultant Site Engineer (Civil)	Level - 3 (Grade 'C')	6	Chandigarh / Jammu / Lucknow / Mumbai
3	Consultant Site Engineer (Electrical)	Level - 3 (Grade 'C')	1	Mumbai
Total			8	-

* The selected candidates would be liable to be posted to any of the Bank's projects as per the Bank's requirements, irrespective of the candidates' preference of job location.
2. For all other details such as eligibility criteria, reservation of vacancies, scheme of selection, submission of online applications and other instructions, please refer to the detailed advertisement to be published on the Bank's website (www.rbi.org.in) on **June 29, 2026**. Candidates can apply for the aforementioned posts only by online mode through the Bank's website.
3. Window for Online Registration of Applications and : **June 29, 2026 to July 20, 2026**
Payment of Application Fees/ Intimation Charges **(till 06:00 PM)**

Note:
(i) The Board reserves the right to make any changes in the above dates.
(ii) Corrigendum/ Addendum, if any, issued on the above advertisement will be published only on the Bank's website (www.rbi.org.in).

इंस्टीट्यूट ऑफ बैंकिंग पर्सनल सेलेक्शन
INSTITUTE OF BANKING PERSONNEL SELECTION
(This autonomous body set up by Reserve Bank of India, Central Financial Institutions and Public Sector Banks)

**CRP PO/MT-XVI and CRP SPL-XVI
COMMON RECRUITMENT PROCESS FOR
RECRUITMENT OF PROBATIONARY OFFICERS/
MANAGEMENT TRAINEES and SPECIALIST OFFICERS
(Vacancies of 2027-28) IN PARTICIPATING BANKS**

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The Online Examinations for the upcoming Common Recruitment Process (CRP) for Recruitment and Selection of Probationary Officers / Management Trainees and Specialist Officers' Cadre Posts in Participating Public Sector Banks are tentatively scheduled as follows:

IMPORTANT DATES		
Activity	PO/MT	Specialist Officers
On-line registration including Edit/ Modification of Application by candidates	01.07.2026 to 21.07.2026	01.07.2026 to 21.07.2026
Payment of Application Fees/Intimation Charges (Online)	01.07.2026 to 21.07.2026	01.07.2026 to 21.07.2026
Edit Window for Candidates to Modify/ Correct Application Form (including online payment for Edit)	After closure of Registration (will be notified on Official IBPS website)	After closure of Registration (will be notified on Official IBPS website)
Conduct of Pre-Exam Training	August 2026	--
Online Examination – Preliminary	August 2026	August 2026
Result of Online exam – Preliminary	September 2026	September / October 2026
Online Examination – Main	October 2026	November 2026
Declaration of Result – Main Examination	November 2026	November 2026
Personality Test	November 2026	--
Conduct of interview	November / December 2026	November / December 2026
Provisional Allotment	January 2027	January 2027

Candidates are advised to regularly visit the official IBPS website www.ibps.in for details and updates.

Candidates intending to apply are advised to read detailed Notification carefully and ensure that they fulfil the minimum eligibility criteria on the stipulated dates before registering online. Candidates must follow the instructions mentioned in each detailed Notification.

Mumbai
Date: 01/07/2026

DIRECTOR

Funding emerging as key challenge for banking system, says RBI’s FSR

LIABILITY PROFILE. Savers’ investment preferences shift towards higher-yielding equities, mutual funds

K Ram Kumar
Mumbai

Funding is emerging as a key challenge even as the banking system’s resilience remains intact, according to the RBI’s latest Financial Stability Report (FSR). The report noted that banks’ liability profile is shifting from low-cost current and savings account (CASA) to higher-cost term deposits and CDs (Certificate of Deposits), pushing up the marginal cost of funds.

This shift reflects a change in the investment preferences of savers towards higher-yielding equities and mutual funds, altering the composition of bank deposits that attract higher run-offs. The run-off rates applicable for less stable wholesale deposits are higher than the



MONEY MATTERS. In FY26, term deposits accounted for 60.8 per cent of banks’ incremental deposits, followed by CASA deposits at 33.4 per cent and CDs at 5.8 per cent. REUTERS

stable retail deposits, increasing the level of high-quality liquid assets required to meet LCR (liquidity coverage ratio) requirements. This rate takes into account the possibility of deposits

getting withdrawn/ transferred in stressed situations.

TERM DEPOSITS
In FY26, term deposits accounted for 60.8 per cent of banks’ incremental deposits

(58.2 per cent in FY25), followed by CASA deposits at 33.4 per cent (40.2 per cent) and CDs at 5.8 per cent (1.6 per cent), per RBI data.

The report assessed that compared to the previous cycles, the inverse relationship between CASA deposits’ share and interest rate cycle appears to have weakened. With the fall in convenience yield on deposits, banks’ deposit franchise is getting affected.

Convenience yield on deposits refers to the non-interest benefits, such as convenience, safety and liquidity, that people get from holding money in bank deposits, especially in current and savings accounts. Thus, even if deposit interest rates are low, people still hold money in banks because of these benefits.

Deposit franchise refers to

a bank’s ability to attract and retain stable, low-cost deposits from customers over time.

Referring to the weakening of the inverse relationship between CASA deposits’ share and interest rate cycle, the report cautioned that this could weigh on their profitability as competition for household savings intensifies even as credit demand remains strong.

CREDIT GROWTH
This is also reflected in banks’ running down their excess SLR (statutory liquidity ratio investments) to fund credit growth, resulting in declining LCR buffers. The recent measures to boost capital flows, however, are expected to ease the funding pressures on banks by improving their access to less-costly rupee liquidity.

‘Growing bank exposure to SGS warrants close monitoring of fiscal risks’

K Ram Kumar
Mumbai

Growing bank exposure to State Government Securities (SGS) could strengthen linkages between State finances and bank balance sheets, warranting close monitoring of fiscal risks at the sub-national level, cautioned the Financial Stability Report.

FLOW OF CREDIT
In addition, a sustained preference for higher-yielding government securities could, at the margin, influence the allocation of greater bank resources towards statutory liquidity ratio-eligible investments, which could constrict credit flow to the private sector.

SLR requires banks to invest 18 per cent of their deposits in Central government securities and State government securities.

The report noted that be-

sides evolving macroeconomic dynamics and external factors, demand-supply dynamics are playing an important role in shaping central government security (G-Sec) yields. “The sharp rise in State Government Securities (SGS) issuances in recent years, coupled with their relatively higher yields, has led banks to increase their holdings of these securities. At the same time, long-term institutional investors such as insurers and pension funds have gradually diversified a larger share of their portfolios towards equities. These developments have financial stability implications,” said the report.

GOVT BONDS
The share of commercial bank holding in government bonds as a per cent of total outstanding loans was 36.1 per cent in the case of SGS and 33 per cent in the case of G-Secs, per RBI data.

Banks, NBFCs can withstand losses under adverse scenarios: Report

K Ram Kumar
Mumbai

Stress test results conducted reaffirmed the resilience of banks and NBFCs to withstand losses under adverse scenarios and to maintain capital ratios, well above the regulatory minimum at the aggregate level.

The aggregate capital to risk-weighted assets ratio of 46 scheduled commercial banks may decline from 17.5 per cent in March 2026 to 15.6 per cent by March 2028 under the baseline scenario. It may fall to 13.3 per cent and 13.0 per cent under adverse scenarios 1 and 2.

The tests attempt to project capital ratios of banks under a baseline and two adverse macro scenarios over two-year horizon. While the baseline scenario has been derived from the latest forecast paths of the macroeconomic variables, the two adverse scenarios are hypothetically stringent stress scenarios.

‘Mutual funds remain resilient, but stress-test breaches surge’

Mahesh Ravidas Nayak
Mumbai

The RBI’s FSR indicates that the mutual fund industry remains broadly resilient, despite a rise in the number and size of debt schemes breaching prescribed stress-test thresholds.

The report noted that 44 open-ended debt schemes, with total assets under management of ₹3.18 lakh crore, breached the thresholds set by either the Association of Mutual Funds in India or individual asset management companies (AMCs) in March 2026. This is higher than the

43 schemes managing ₹2.25 lakh crore that breached the limits in April 2025.

REMEDIAL MEASURES
The RBI said all affected funds have either rectified the breaches or initiated remedial measures within the prescribed timeline, underlining the sector’s ability to manage risks proactively.

Liquidity risk indicators also remained largely comfortable. The two key measures — Liquidity Ratio-Redemption at Risk and Liquidity Ratio-Conditional Redemption at Risk — stayed above the regulatory thresholds for most debt

schemes in both years. Any exceptions were addressed promptly by AMCs.

MIXED TREND
Stress tests of equity funds showed mixed trends. In April 2026, the time required to liquidate 25 per cent of portfolios in the largest mid-cap schemes ranged from 5 to 23 days, against 4 to 20 days in 2025.

For smallcap funds, the range improved to 7 to 33 days, from 13 to 35 days a year earlier, indicating better liquidity conditions despite continued concerns around market depth in smaller stocks.

Rapid growth in gold loans amid elevated price volatility merits continued vigilance: RBI report

K Ram Kumar
Mumbai

The rapid growth in lending against gold collateral amid elevated gold price volatility merits continued vigilance, even as asset impairment risks remain contained and LTV (loan-to-value) ratios provide comfortable cushion, according to the RBI’s Financial Stability Report.

BORROWER STRESS
The report cautioned that a prolonged correction in gold prices could weaken collat-

eral protection, increase borrower stress and result in higher delinquencies.

Gold loans include agriculture gold loans that are offered against the collateral security of gold jewellery, ornaments and coins.

Gold loans have emerged as the largest segment within non-housing retail loans, growing at a CAGR of 42.4 per cent since March 2024, nearly twice the pace of overall non-housing retail loans (CAGR of 23.0 per cent) in the same period, per the FSR, which is a half-yearly publication with contributions

from all financial sector regulators

GOLD LOAN PORTFOLIO
The report noted that both banks and NBFCs have significantly expanded their gold loan portfolios in 2025–26, outpacing growth in other retail loan categories, including housing loans. This trend has been supported by a sharp increase in gold prices.

The FSR assessed that the recent increase in gold loans is driven primarily by existing borrowers, who are using higher gold prices to secure larger loans and roll over ex-

isting debt, as indicated by the gap between fresh originations and loan outstanding.

This is particularly visible in NBFC loan originations, which have far exceeded those by public and private sector banks. Overall, the gold loan portfolio of lenders rose 54.5 per cent y-o-y as of March-end 2026.

NBFC GROWTH
Within lender categories, NBFCs’ growth surged 96.5 per cent, followed by public sector banks (51.6 per cent) and private sector banks (44.7 per cent). Lenders’ out-

standing gold loan portfolio stood at ₹18.4 lakh crore as of March-end 2026, per RBI data.

Gold loans are subject to a LTV cap between 75 per cent and 85 per cent based on the amount of gold loan borrowed.

“Notably, LTV ratios across banks and NBFCs have declined despite strong growth in gold loans, supported by rising gold prices. This has strengthened collateral buffers and provided lenders with a larger cushion against adverse movements in gold prices,” said the report.

Fintechs bet on UPI-led engagement for lending, commerce biz

Jyoti Banthia
Bengaluru

Fintech companies are increasingly looking beyond UPI payments, using them as a gateway to build higher-margin businesses such as lending, commerce and financial services. Flipkart-backed super.money said the next phase of fintech growth will be driven by platforms that can convert payment users into long-term financial services customers.

COMPETITION RIFE
As competition intensifies in the UPI ecosystem, fintech firms are shifting focus from transaction volumes to monetisation through credit cards and commerce. While rewards and cashback continue to attract users, companies are increasingly positioning them as tools to

deepen engagement, rather than standalone customer acquisition strategies.

“India’s fintech opportunity is far bigger than payments alone. UPI has become the daily engagement layer for millions of consumers, but the real opportunity lies in what you build on top of that engagement,” said Prakash Sikaria, Founder and Chief Executive of super.money.

Sikaria said the company has built its model around three pillars — using UPI for customer engagement, credit for monetisation and commerce and financial services to increase customer lifetime value.

The company views cashback as part of the product experience, aimed at encouraging everyday usage and helping users build financial habits.

The strategy reflects a



PAYS OFF. The fintech opportunity is far bigger than payments

broader trend across the fintech industry, where newer players are using payments to cross-sell lending and other financial products.

Companies such as Navi, Kiwi, Kredit.Pe and POP are similarly leveraging UPI to

acquire users before expanding into adjacent businesses.

According to Sikaria, nearly 40–45 per cent of super.money’s users are first-time formal credit customers. The company has also become one of the country’s

largest distributors of secured credit cards, targeting younger consumers beginning their credit journey.

The company is also betting heavily on younger users, with over 75 per cent of its customer base belonging to Gen Z, a segment it believes prefers simple, digital-first financial products.

“The next phase of India’s fintech evolution will be won by the platform that earns the deepest trust, expands access to financial services responsibly and becomes consumers’ primary app for all things finance-related,” said Sikaria.

The shift underscores how India’s fintech ecosystem is evolving from a payments-led market to one where long-term value will increasingly depend on a company’s ability to cross-sell financial products and deepen customer relationships.

Indian refiners book oil supply for next 45 days

Rishi Ranjan Kala
New Delhi

Indian refiners have stocked up on crude oil for the next 45 days with Russia continuing as New Delhi’s top supplier and replacement barrels coming from the US, Venezuela, Africa and Oman.

There are ample indications that the market is favouring buyers, driven by the de-escalation in West Asia and more Gulf cargos entering the market. Sources said there is ample crude oil in the market currently as Ukraine’s drone attacks on Russian refineries are freeing up more barrels for export. Besides, the US-Iran MoU and the 60-day sanctions reprieve resulted in crude oil supply coming back to the market from Middle East Gulf (MEG) producers, including Iran.

“Refiners have already fixed up crude till mid-August. There are ample stocks available, and more is com-

ing in as Saudi Arabia, the UAE and Iraq push more barrels into the market. It’s a buyer’s market. For remaining August and September, refiners can buy Iranian crude, but it will depend on market dynamics and payment clarity,” said a top official with a leading refiner.

The sanctions reprieve for Iran to sell crude oil and refined products ends on August 21. Crude oil export by MEG producers is also recovering after the opening of the Strait of Hormuz. However, many analysts do not expect West Asian supply to form a major part of India’s import basket for the remainder of August and September.

Another factor is that India’s crude oil imports are on the lower end during June and September rainy season as fuel consumption declines and refiners also go into maintenance, which means imports will be lower than those during March and June 2026, said one of the sources.

Rupee steadies despite a strong dollar

Akhil Nallamuthu
bl research bureau

The rupee remained largely steady over the past week and closed at 94.67 against the dollar on Tuesday, compared to 94.74 a week earlier. This is despite the dollar index gaining by 1.8 per cent during this period. The currency managed to hold its ground despite continued strength in the dollar, supported by positive domestic factors.

WEEKLY RUPEE VIEW.

Foreign flows saw a notable turnaround. According to NSDL data, net FPI inflows stood at nearly \$2.4 billion over the past week, reversing the earlier outflows and taking the cumulative investment in June so far to \$531 million.

Another supportive factor has been the decline in crude oil prices. Brent crude futures fell about 10 per cent last week and have remained

largely flat so far this week. More importantly, India’s crude oil basket averaged \$83.85 per barrel in June, a sharp decline from \$106.23 in March and \$114.48 in April.

Domestic economic indicators have also been encouraging. India’s industrial production expanded 5.1 per cent in May, exceeding market expectations of 4.7 per cent and signalling resilience in economic activity.

Meanwhile, India’s foreign exchange reserves rose to \$672.59 billion in the week ended June 19. The increase suggests that the RBI has started rebuilding its reserves after months of intervention to smoothen the volatility in the currency markets. The dollar remains the key challenge for the rupee. The dollar index, currently around 101.40, has sustained above the psychologically important 100-mark, supported by expectations of higher US interest rates. This has limited the rupee’s gain despite supportive factors such as lower crude



oil prices and improving foreign inflows. The rupee has been oscillating within the 94.20–94.90 range over the past two weeks. While the recent recovery appears to have stalled near 94.20, the local currency has also found support at 94.90. Therefore, the next short-term move is likely to depend on the direction of the breakout from this range.

A decisive break above 94.20 can strengthen the recovery and lift the rupee to 93.50. On the other hand, a breach of the support at 94.90 could trigger a fresh bout of weakness, dragging the currency towards 95.80, a notable support level.

The dollar index will remain a key factor. The index

has been in an uptrend since February, and has gained further traction after finding support at 97.80 in May. As long as it remains above the 100 and 101 levels, the broader bias stays bullish.

That said, there is a possibility of a corrective decline towards the support-turned-resistance level of 100.50. Such a move could keep the rupee in consolidation mode, albeit with a positive bias, and potentially help it appreciate towards 94.

However, if the dollar index resumes its uptrend, it can advance towards 102 in the near term. In that scenario, the rupee may come under renewed pressure and weaken towards 95.80.

OUTLOOK
The rupee appears set to remain range-bound in the near term. While lower crude oil prices and improving foreign inflows are supportive, the strength in the dollar is likely to limit gains. The key levels to watch are 94.20 and 94.90.

Coal India plans to invest ₹1,900 cr in R&D by FY30

Our Bureau
Kolkata

State-run Coal India said on Tuesday that it has intensified its research and development (R&D) initiatives, with plans to invest ₹1,900 crore by FY30 in this area.

CIL’s transformational R&D thrust gathered momentum in FY25 with the establishment of the National Centre for Coal and Energy Research (NaCCER), a hub-and-spoke-modelled R&D centre.

TECH READINESS LEVEL
Since then, the company has shifted its focus from proof-of-concept studies to prototype development, corresponding to technology readiness level 4 and above, the coal behemoth said in a stock exchange filing.

“We intend to shift R&D to a higher orbit to drive the company’s future growth and technological transformation,” said a senior official with CIL. The com-

pany’s R&D expenditure increased four-fold to ₹245 crore in FY25, from ₹61 crore in FY24.

The Department of Public Enterprises mandates annual R&D expenditure averaging one per cent of the profit before tax of the preceding three years.

For a structured innovation framework, CIL has also formulated a comprehensive R&D policy.

Strengthening industry-academia collaboration, CIL has established three centres of excellence (CoE) at premier IITs — Centre of Clean Coal Energy and Net Zero (CLEANZ), Hyderabad; Centre for Sustainable Energy (CSE), Madras; and Innovation in Mining (IMIN) at IIT (ISM) Dhanbad.

These centres function as research spokes under NaCCER, undertaking pilot-scale research, prototype development and technology validation. CIL has committed ₹253 crore to be released in phases to these CoEs.

QUICKLY.

Fujifilm India inks MoU for chip materials plant

Ahmedabad: Fujifilm India has signed a memorandum of understanding with the Gujarat State Electronics Mission (GSEM) to explore setting up a “semiconductor materials production base” in Dholera, marking the Japanese company’s latest move to tap India’s fast-growing semiconductor ecosystem. The MoU was announced at the Vibrant Gujarat Regional Conference in Vadodara on Tuesday. Under the pact, Fujifilm India will work with industry bodies and private companies to help strengthen the domestic semiconductor supply chain. **OUR BUREAU**

OnMobile brings ONMO+ gaming to India

Bengaluru: OnMobile Global Ltd has announced the launch of ONMO+ on Flipkart, marking its entry into India’s console gaming market. The cloud-based “Smart Console” experience allows users to stream premium games across TVs, laptops, tablets and smartphones, eliminating the need for traditional, high-cost gaming hardware or PCs. **OUR BUREAU**

FMCG sector closely ‘tracking El Nino impact on rural demand’

WORRYING SIGNS. A weak monsoon can hit discretionary spending, non-food segments

Meenakshi Verma Ambwani
New Delhi

The FMCG industry is closely monitoring the influence of El Nino conditions on monsoons as that will have an impact on rural consumption sentiment. Players and analysts pointed out that in the June quarter, demand trends were broadly steady, especially for the food sector. Concerns about a below-normal monsoon come at a time when rural consumption has been outpacing urban consumption and fuelling the growth of the FMCG industry for the past several quarters. Mayank Shah, Chief Marketing Officer, Parle Products, said there are concerns around El Nino’s impact on monsoon and on rural consumption sentiment. “A weaker monsoon could have a more adverse impact on discretionary spending and non-food segments in rural regions, while the food and essentials segment may



STABLE DEMAND. Players and analysts pointed out that in the June quarter, demand trends were broadly steady, especially for the food sector

not see a huge impact,” he added. Ashwani Arora, Managing Director & Chief Executive Officer, LT Foods Ltd, said that currently the company is not witnessing any “significant softness” in consumer demand for its food portfolio. “While inflationary pressures continue to influence household budgets, consumers are increasingly prioritising trusted, high-quality food brands, particularly in urban markets where demand remains relatively resilient. Our focus on premium and value-added offerings has helped us stay closely aligned with evolving consumer preferences. As far as the monsoon outlook and the possibility of El Niño-related disruptions, the situation warrants careful monitoring,” he added. **INFLATION RATES** Recently, the senior management at P&G Hygiene and Health Care Ltd, in an analyst call, noted that while rural consumption continued to be higher than urban, it is seeing a softening trend driven by an uptick in inflation rates.

The company also said delayed monsoons could have an impact on category growth rates.

REGIONAL VARIATIONS “Regional variations in terms of demand trends may arise depending on the distribution of rainfall and prevailing crop conditions. For categories such as spices, in the coming quarter, rural consumption is likely to face some pressure as lower disposable incomes may affect consumer spending. In such an environment, consumers could increasingly shift towards more affordable alternatives, leading to moving to lower-priced offerings,” said Jyotiroop Barua, Business Head, Confectionery, DSGROUP.

A report by Anand Rathi Research on Tuesday said the FMCG sector saw healthy sectoral revenue growth in the June quarter on the back of premiumisation and price-led growth. However, rural recovery and monsoon are key monitorables for industry growth.

‘Domestic manufacturing shielding IT supply chain from geopolitical stress’

bl.interview

Rohan Das
Chennai

AI-driven surge in memory prices, which has pushed up device costs across categories by 30-50 per cent, is resulting in softer demand in some segments but value growth is continuing, Rajat Vohra, CEO of Redington India, said. Redington is also evolving from a traditional hardware distributor into an “ecosystem orchestrator”, with cloud and services now contributing over 20 per cent of its India business, Vohra said. *Edited excerpts:*

How has the disruptive geopolitical situation impacted your business? The impact of geopolitics has been limited in India since most of the vendors that we distribute for have a domestic manufacturing presence.

As for the imports, the lead times have gone up from about 6-8 weeks to 10-12 weeks but that has been fairly manageable. The bigger challenge now is the AI-led rise in memory prices, resulting in all device costs going northwards. There has been a 30-50 per cent increase in the average selling prices (ASP) across our portfolio, including mobile phones, PCs, servers, networking equipment. This has led to some flattening and even decline in unit volumes in certain device categories.

How have your customers reacted to these price increases? Many of our channel partners have been stocking up on inventory to ensure that they are able to take the advantage of pricing today. On the other hand, some have also reduced budgets



RAJAT VOHRA,
CEO, Redington India

and have deferred spending on non-critical projects. Overall, enterprise infrastructure demand remains strong. Device consumption has weakened slightly in terms of the units but continues to deliver value growth because of higher prices.

How do you foresee the smartphone demand in India ahead of the festive season? We primarily operate in the premium segment of above \$600, which has shown strong growth and despite the price spike we expect to protect our unit volumes and grow the revenue drastically because of the average selling prices increase. The entry-level segments could see some deferred purchases and volume drops. Overall, despite the flattish volumes we expect revenue growth of 15-20 per cent.

In recent years, Redington has expanded its scope beyond a pure hardware distributor. Can you brief us on the transition? We started off as a distrib-

utor but are now transitioning ourselves to an ‘ecosystem orchestrator’. Cloud and services contribute more than 20 per cent of our India business today and with the tech landscape becoming broader we want to invest and grow the services business. AI is another strategic priority. We have seen strong penetration across the AI PCs portfolio and have also partnered with more than 40 AI related Independent Software Vendors (ISV). We are also investing in platforms that allow customers to design and procure solutions digitally while still offering human support where required. Around 30 per cent of our business today is fully digital.

What is your presence like in tier-2/3/4 and other non-metro cities? Tier-3 and tier-4 cities are strategic priorities for us and we are aiming to expand to 41 such markets this year. The technology ecosystem is expanding a lot in these cities due to the lower real estate costs and improved talent availability. The demand in these locations is driven largely by SMEs, who may not have dedicated IT departments but increasingly require AI, connectivity and infrastructure solutions.

What tailwinds do you expect from data centre capacity additions in India? Industry estimates point to an 8x increase in data centre capacity in the next 3-5 years. We see a humongous opportunity in this space and our focus areas are predominantly around power and cooling solutions, GPU servers and networking infrastructure and services around deployment and operations.

India-Peru FTA talks to resume after new govt takes office in Lima

T E Raja Simhan
Chennai

The negotiations for the proposed India-Peru Free Trade Agreement (FTA), which were expected to conclude by July this year, are likely to resume in the second half of 2026 after Peru’s newly-elected government takes office, said Javier Manuel Paulinich Velarde, Peru’s Ambassador to India. The negotiations have been delayed following Peru’s recent presidential elections. The new govern-

ment is scheduled to take office at the end of July and will first need to appoint ministers before resuming the trade discussions, he told *businessline*. “There is interest from both countries to continue the negotiations,” the Ambassador said, expressing optimism that the talks would restart once the new administration is in place. So far, nine rounds of negotiations have been completed. **LATEST ROUND** The latest round took place



Javier Manuel Paulinich Velarde, Ambassador of Peru to India **BUJOY GHOSH**

nearly a year ago, after which the country’s election campaign slowed progress.

The Ambassador said the incoming government would decide the timeline for the next round of negotiations but reiterated Peru’s commitment to moving the agreement forward. The proposed India-Peru FTA is expected to deepen bilateral trade and create new opportunities across sectors such as mining, pharmaceuticals, agriculture, renewable energy and manufacturing, while providing Indian companies greater access to Peru’s abundant reserves of critical minerals. On opportunities beyond

the FTA, he highlighted Peru’s vast mining potential, saying the country had around \$60 billion worth of mineral exploration and exploitation projects, presenting significant opportunities for global investors, including from India.

MEGA PORT PROJECT The Ambassador invited Indian companies to participate in Peru’s infrastructure development, particularly a proposed \$6 billion mega port project, the country’s second such facility after the Chancay port.

CG Power’s FY27 growth momentum intact: Vellayan Subbiah

Our Bureau
Chennai

Even as an uncertain business environment continues into FY27, the themes of energy transition, AI-driven data centre expansion and semiconductor localisation, among others, are set to keep CG Power’s momentum intact and further drive business performance this fiscal, Vellayan Subbiah, Chairman, CG Power and Industrial Solutions, said. The Murugappa Group-owned CG Power specialises in power transmission, distribution and rail transportation. Putting down his thoughts in the FY26 annual report, Subbiah said the themes driving the addressable market for CG Power are all multi-decade themes. “CG enters this environment with expanded capacity, strong order visibility, a growing export base, and an organisation that has demonstrated its ability to perform under pressure,” he said.

CG Power delivered consolidated revenue of ₹12,418 crore in FY26, growing 25 per cent over the prior year, with net profit rising 23 per cent to ₹1,196 crore. These results were achieved in a year of significant global disruption: Conflict in the Middle East, commodity volatility, evolving tariff regimes, and the reconfiguration of global supply chains. Interestingly, export order bookings of CG Power more than doubled year-on-year in FY26. “The single largest order in CG’s history was not a domestic order, rather it was a ₹900 crore contract to supply power transformers for a hyper-scale data centre in the US,” Subbiah said in the annual report.

He called out the increasing demand for data centres and grid modernisation efforts as a key tailwind for the company.

Apple iPhone 18 Pro supplier list, parts and photos exposed in Tata data leak

Reuters
New Delhi / San Francisco

Sensitive lists of components and suppliers, and photos of Apple’s upcoming iPhone 18 Pro models are part of files posted on the dark web by the ransomware group that stole data from the US firm’s Indian supplier Tata Electronics, according to documents and a source. The exposure threatens the carefully negotiated business of building the iPhone, which Apple assembles from a thicket of

suppliers worldwide. It could also upset Apple and its relationship with Tata, given most of the supplier arrangements are fiercely protected by Apple, and could also hand rivals, counterfeiters and its own vendors a view of who makes what. Tata, which both supplies parts and assembles iPhones as a contract manufacturer, is emerging as one of Apple’s most important manufacturing partners outside China, an expansion that is a cornerstone of Prime Minister Narendra Modi’s push to make India an electronics

manufacturing powerhouse. Apple is reportedly on track to release its iPhone 18 Pro and Pro Max in September. The leak comes at a difficult time for Apple, which last week raised iPad and MacBook prices due to soaring memory and storage chip costs, with analysts expecting Apple to increase iPhone prices in the coming months. The Tata Electronics leak of more than 2,00,000 files on the dark web by World Leaks had files with purported component design papers of older iPhones and some parts of Tesla, both Tata clients.



TATA

TATA CAPITAL LIMITED

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CIN: L65990MH1991PLC060670

Tel No.: 022-6606 9000 Fax: 022-6656 2699 Website: www.tatacapital.com

PUBLICATION FOR SALE OF OUTSTANDING UNITS OF CATEGORY I ALTERNATIVE INVESTMENT FUND - VENTURE CAPITAL FUND (MIGRATED) ("AIFs")

1. Tata Capital Limited ("TCL") is the Investment Manager ("IM") to the below AIFs:

Name of the AIF	SEBI registration no.
Tata Capital Innovations Fund	IN/AIF1/25-26/1960
Tata Capital Special Situations Fund – Trust	IN/AIF1/25-26/1958

Each AIF holds 1 unliquidated portfolio company.

2. Tata Capital Limited has appointed Affluence as the transaction advisor ("**Advisor**") with respect to the above AIFs.

Pursuant to the SEBI circular SEBI/HO/AFD-PoD-I/P/CIR/2024/026, dated 26 April 2024, TCL proposes to sell a minimum of 25% of the Units of each of the AIFs, representing equivalent shares of the AIF's interest in the 1 unliquidated portfolio investment, through the Advisor.

3. In this regard, bids are invited from all eligible buyers who are permitted to purchase Units under applicable laws, including the SEBI master circular SEBI/HO/AFD-I-PoD-I/P/CIR/2024/39 for AIFs dated 07 May 2024, subject to applicable regulations issued by Reserve Bank of India, SEBI and any other authorities.

4. The Units are proposed to be sold on "100% Cash Basis" only and on "As is Where is, As is What is and Whatever there is Basis" and "Without Recourse Basis".

5. The IM has appointed the Advisor to assist in the proposed sale of Units including coordination with the interested buyers, facilitating due-diligence and handling of potential bids.

6. Eligible interested buyers are invited to contact the below-mentioned representative of the Advisor for further information regarding the Units and details about the sale process. Bid submissions are scheduled for completion by 3 July 2026, without extensions.

7. The purpose of this advertisement is solely to ascertain interest of eligible interested buyers and it does not constitute an offer or invitation to sell or any binding obligation or an official confirmation of any transaction entered into by the IM.

8. The proposed sale of Units will be subject to final approval by the competent authority of the IM and the current unitholders of the Fund. The IM reserves the right to terminate the sale process at any point of time without prescribing any reason thereof, at its own discretion. The decision of the IM shall be final and binding in this regard.

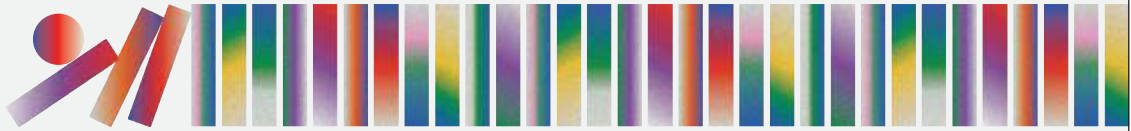
Place: Mumbai
Date: July 1, 2026

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A CH-CE

QUICKLY.

Gold heads for worst quarterly loss in 13 years

Gold eased on Tuesday and was on track for its sharpest quarterly decline in 13 years as inflation concerns stemming from the West Asia conflict reinforced expectations that the Fed could hike interest rates. Spot gold dropped 0.2 per cent to \$4,008.94 per ounce by 1258 GMT. US gold futures dipped 0.4 per cent to \$4,022.70. Silver slid 0.8 per cent to \$58.2585 and headed for its worst quarterly drop since the first quarter of 2020. REUTERS

Crude oil eyes steepest quarterly loss since 2020



Crude oil prices were heading for their biggest quarterly loss since the Covid-19 pandemic, with investors eyeing potential US-Iran talks in Doha. Brent August crude futures, which expire on Tuesday, were up 0.16 per cent at \$73.27 a barrel as of 0959 GMT. The contract was down about 20 per cent so far in June. US WTI for August rose 0.38 per cent to \$71.02 and was down about 19 per cent so far in June. REUTERS

Aluminium set for worst quarterly fall in 3 years

London: Aluminium prices were on track to log their steepest multi-year quarterly and monthly drops as West Asian peace talks raised hopes of supply from the region normalising. Benchmark aluminium on the LME was up 1.3 per cent at \$3,127.50 a tonne by 0952 GMT. For the quarter, it was down 10 per cent, the steepest in three years. Copper rose 0.7 per cent to \$13,377. REUTERS

Telangana plans exclusive rice export policy to boost overseas shipments

Our Bureau
Hyderabad

Telangana, now among India's top three rice-producing States, is considering an exclusive rice export policy to boost overseas shipments of the staple. State Civil Supplies Minister Uttam Kumar Reddy said Telangana produces about three crore tonnes of rice annually but consumes only 36 lakh tonnes, leaving a substantial surplus. "We consume barely one-tenth of our total production," he said while addressing a conference on 'Unlocking Market Potential: Advancing Fortified Rice in Telangana and Andhra Pradesh' here on Monday. The proposed policy, currently under preparation, aims to facilitate rice exports and help rice millers access

Monsoon will be 'below-normal' in July, says IMD

AFTER DEFICIENT JUNE. The situation could lead to water stress and farmers should opt for short-duration crops, says D-G Mrutyunjay Mohapatra

Prabhudatta Mishra
New Delhi

The India Meteorological Department on Tuesday predicted "below-normal" monsoon rainfall in July, quantitatively 94 per cent of the long-period average of 280.4 mm. However, the IMD indicated that a potential positive Indian Ocean Dipole (IOD) in September might marginally mitigate the adverse impacts of a strong El Nino. Given that June concluded with just 60 per cent of its normal rainfall and the bureau refrained from offering definitive long-term projections for July, the full impact of this seasonal deficit remains highly uncertain. Briefing the media on the

assessment of June and the outlook for July, Mrutyunjay Mohapatra, IMD Director-General, said that monsoon rainfall in June was 99.5 mm against its long-period average of 165.3 mm, a fall of 39.8 per cent from the normal. It is the fifth lowest since 1901. In June, the weather bureau had predicted monsoon to be less than 92 per cent of LPA. **NEXT 15 DAYS CRUCIAL** "During July, below-normal rainfall is likely across most parts of the country, except some areas of the North-West and North-East regions, as well as East-Central India and the eastern peninsular region, where normal to above normal rainfall is likely," he said. Mohapatra said that the



FARM ALERT. There will be water stress and the next 15 days are very crucial for planting most kharif crops, say experts

impact of a below-normal monsoon in July, closely after the deficiency in June, may be on water availability for irrigation. "In general, there will be water stress. Farmers should

opt for short-duration varieties and alternative crops where there is rainfall deficiency. But the Agriculture Ministry is better placed to issue such advisories," he said, adding that the IMD

had been regularly sharing inputs with the Ministry. "It is early to say that the kharif crops sowing coverage would be low this year. However, the next 15 days are very crucial for planting most of the kharif crops. Let us watch the progress of the monsoon in the heartlands of the country. There is definitely a worry while looking at water availability in our reservoirs and scorching heat," said JS Sandhu, a former Agriculture Commissioner.

1997 WAS AN EXCEPTION On the IOD turning 'positive', he said the IMD's own model still maintains the current neutral conditions to persist throughout the monsoon season (till September). However, there

is a possibility of the IOD turning to positive; if that happens, it may marginally reduce the El Nino impact. When asked about the impact of El Nino on the 1997 monsoon (India received 2 per cent above normal rain), he said, "That was the only exception in a strong El Nino year." The IMD has also predicted that there may be good rainfall across the country at least in the first week of July due to a low-pressure system developing in the Bay of Bengal. This may boost sowing as the kharif season's acreage till June 25 had dipped 23 per cent from the year-ago level. IMD's June rainfall data from 741 districts also show that only 181 (24 per cent) of them received either normal

or excess precipitation whereas 560 (76 per cent) reported deficient rainfall up to 99 per cent. Gujarat's Dwarka reported no rainfall in the month whereas the district's normal rainfall for the first month of the season is 100.3 mm. Mohapatra attributed the high deficit in June on some key factors. First, an unfavourable phase of the Madden-Julian Oscillation (MJO), which is a moving system of wind, cloud and pressure that brings rain as it circles the equator. Second, there was no low-pressure system formed during June, against the normal 2-3 in the month. Besides, the emergence of El Nino conditions also hit rainfall activity.

Monsoon eyes N-W India, to cover entire country next week

Vinson Kurian
Thiruvananthapuram

The monsoon remained stalled through the weekend, but the pause is expected to end soon, with the India Meteorological Department (IMD) forecasting a fresh advance over North-West India during the next few days. The conditions are favourable for the monsoon to cover more parts of Gujarat, Madhya Pradesh and the remaining areas of Chhattisgarh, Jharkhand and Bihar over the next two days, before advancing into parts of Uttar Pradesh and Uttarakhand, the IMD said in its Tuesday morning update. During the following 2-3 days, the rear flanks are expected to spread further across Madhya Pradesh, Ut-

tar Pradesh, Uttarakhand, Himachal Pradesh, Jammu and Kashmir, Ladakh, south-east Rajasthan and the remaining parts of Gujarat. Once it covers all of Rajasthan, the monsoon would have reached the entire country. The renewed advance will be aided by the development of a cyclonic circulation and low-pressure area over the adjoining land and the Bay of Bengal. Together, these systems are expected to strengthen westerly and easterly winds, respectively, from both the Arabian Sea and the Bay, supplying the moisture needed to push the monsoon deeper into the remaining uncovered regions. **LOW-PRESSURE SOON** Model guidance indicates that a low-pressure area

could form over the north Bay by the weekend. The IMD on Tuesday identified a cyclonic circulation each over north Odisha and over the north Bay and adjoining south Bangladesh. The latter is expected to strengthen into a depression and move towards the North-Eastern States and adjoining West Bengal during the week that follows (July 5-11). The Climate Prediction Center of the US National Weather Service, too, indicated the probability of a strong circulation developing during July 1-7. While environmental conditions favour its formation, strong vertical wind shear associated with an active monsoon may prevent the system from intensifying into a tropical cyclone.

Sowing of kharif oilseed, cash crops hit in Gujarat because of 82% rain deficit

Avinash Nair
Ahmedabad

An 82 per cent rainfall deficit has slowed kharif sowing in Gujarat to a crawl, with farmers delaying planting as the South-West monsoon remains sluggish. As of end-June, only 12.71 lakh hectares (lh) had been sown, down 62 per cent from 33.9 lh a year ago. This accounts for just 15 per cent of the State's normal kharif acreage of about 85 lh, raising concerns over the pace of sowing if widespread rainfall does not arrive soon. While scattered showers have been reported in parts of the State, most farmers are waiting for sustained rainfall before taking up



Groundnut, the State's largest kharif crop, has been sown on 4.12 lh, down 73% year-on-year

largescale planting. The sharpest decline has been in key oilseed and cash crops. Oilseed sowing stands at just 4.29 lh, nearly 80 per cent lower than the corres-

ponding period last year. **CROP-WISE AREA** Groundnut, the State's largest kharif crop, has been sown on 4.12 lh, down 73 per cent year-on-year, while soybean acreage has plunged 87 per cent to just 15,406 hectares. Cotton has fared little better, with sowing at 6.83 lh — a 51 per cent decline from last year, reflecting farmers' caution amid uncertain rainfall. Among cereals, however, sowing bucked the broader trend, rising 7 per cent year-on-year to 38,874 hectares. Pulse acreage, in contrast, dropped sharply to 5,479 hectares, about one-fifth of last year's level. The patchy monsoon is evident across the State. While Surat and Tapi in

south Gujarat received heavy showers over the past 24 hours, large parts of the State remain dry, delaying field preparation and sowing. The situation is most severe in Saurashtra, where Devbhumi Dwarka continues to report a 100 per cent rainfall deficit. Nine other districts in the region are also facing rainfall deficits of over 90 per cent, prompting farmers to hold back sowing until soil moisture improves. Relief may be on the horizon, with the India Meteorological Department saying the conditions are favourable for the monsoon to advance further into Gujarat. Widespread rainfall over the next few days could boost sowing and reduce the gap with last year's acreage.

Rajkot to host 2-day cottonseed, groundnut conclave from August 22

Our Bureau
Mangaluru

The Solvent Extractors Association of India (SEA) and the All India Cottonseed Crushers' Association (AICOSCA) will organise the seventh SEA-AICOSCA Cottonseed and Groundnut Conclave 2026 in Gujarat's Rajkot on August 22 and 23. The conclave aims to provide a common platform for stakeholders to discuss innovations, market opportunities, policy developments, value addition and global demand trends in cottonseed oil, cake and meal as well as groundnut oil and meal. A media statement said the conclave will bring together hundreds of delegates, policymakers, industry leaders and stakeholders

from across the cottonseed, groundnut, edible oil, cake, and meal value chains to discuss market trends, policy developments, trade opportunities, and the future of the sector. **VERSATILE CROPS** It said cotton is among nature's most versatile crops, providing fibre for clothing, oil for consumption and meal for livestock. Along with groundnut, it is a key pillar of the oilseed economy, creating value across the food, feed and industrial sectors. While cottonseed yields oil, cake and meal, groundnut provides premium edible oil, protein-rich meal and a range of food and export products, supporting farmer incomes and nutritional security.

'States executing low-cost protected cultivation model for smallholders'

Our Bureau
Mangaluru

Kheyti, a Hyderabad-based agri-tech social enterprise, has said that the governments in Andhra Pradesh, Telangana, Uttar Pradesh and Madhya Pradesh, and Nabard have adapted its low-cost protected cultivation model. A media statement said that Kheyti had re-engineered the conventional greenhouse into a low-cost protected cultivation structure that costs a fraction of a standard greenhouse and is sized for a small farmer's plot, paired with an AI-powered advisory delivered through field agronomists and a mobile decision-support tool. After proving the model directly with more than 7,000 farmers across eight

States, Kheyti has begun working alongside State governments and Central institutions to carry it to the millions of smallholder farmers it aims to reach, it said. **SHADE-NET DESIGN** On March 7, the Mission for Integrated Development of Horticulture (MIDH), under the Union Ministry of Agriculture and Farmers' Welfare, wrote to the State Horticulture Mission Directors across the country, asking them to consider promoting low-cost protected cultivation for small and marginal farmers. The statement said the advisory cited a technical evaluation by the ICAR-Indian Institute of Horticultural Research (IIHR), Bengaluru, which assessed Kheyti's low-cost shade net design and found it "very much cost effective", and said that it "can

be recommended for the farmers". **CLIMATE RESILIENCE** Citing the institute, the statement said: "Low-cost, small-sized net-house models may be included in the protected cultivation schemes under MIDH." Quoting Saumya, Co-founder and Head of Public and Government Partnerships, Kheyti, the statement said: "India's State governments and Nabard have shown over the past two years that climate resilience for smallholder farmers is solvable — when the model is built end-to-end for smallholder economics, and when public institutions choose to put their delivery capacity behind it. Kheyti's role is to democratise the technology and provide farmers with AI-driven advisory to ensure their success."

Sell aluminium if it rises to ₹345, stop-loss at ₹355

Akhil Nallamuthu
bl, research bureau

Aluminium futures declined nearly 7 per cent last week, extending losses for a fourth consecutive week. However, the contract has been moving sideways since the start of this week. **COMMODITY CALL.** The July aluminium futures contract (currently at ₹332/kg) has been in a downtrend since early June after facing resistance at ₹396. Over the past few weeks, it has broken below key support levels at ₹365, ₹360 and ₹350. Last week, the contract touched a low of ₹327.10 before recovering modestly. The chart indicates strong support in the ₹327-330 zone.

Digital Green Trust focusing on FarmerChat app for timely local advisory to small growers

Subramani Ra Mancombu
Chennai

Digital Green Trust, which empowers smallholder farmers through technology and data, is focusing on an AI-based application FarmerChat, which puts an advisory tool directly in farmers' hands, its CEO Nidhi Bhasin said. "Our major activity right now is ensuring that farmers have this app in their pockets and they get timely local advisory," she told *businessline* in an online interaction. In India, FarmerChat has reached close to one million farmers across nine States. They have asked more than 3 million queries, largely around crop health, yield improvement and government schemes. Independent evaluations show that 60 per cent of active users act on the advice



they receive and 91% of farmers feel confident in making decisions because of FarmerChat. The Net Promoter Score has grown from 21 to 72 for the app, and it has increased to 87 among women users. **RESPONSE IN SECONDS** FarmerChat is available on the Google Play Store for Android phones. A farmer can ask a question by voice, text or photo mode in their own

language about a crop. Or it can be anything to do with a disease, pest management, irrigation, livestock care, weather forecast or climate-smart practices. Farmers will receive an actionable response in a few seconds. The answer will be in text or in their own language in terms of a voice, said the CEO of Digital Green, a social transformation organisation. Farmers tend to use the voice mode or image mode to ask questions. This helps to cut across literacy issues, said Bhasin. Farmers can access the app free and it helps them overcome a barrier to accessing the advisory. Advisories are issued in Hindi, English, Odia, Telugu, Kannada and Marathi, she said. **BRIDGING GAP** "We work with extension workers to make sure that

GJC urges govt to relook at taxation, customs duty hike

Our Bureau
Mumbai

The All India Gem & Jewellery Domestic Council (GJC) has urged the government to review taxation and customs duty policies, saying higher levies encourage unofficial trade and hurt the organised jewellery sector amid volatile bullion prices. In its half-yearly review of the gold and silver market, GJC said gold prices touched a record ₹170,480 per 10 g in January before easing to about ₹142,800 by late June. Silver surged past ₹4 lakh per kg for the first time, hitting ₹402,490 in January before retreating to around ₹225,940 by June. The Council said taxation changes, higher customs duties and geopolitical tensions were the key drivers of the bullion market so far this year. While investors flocked to

gold as a safe-haven asset, jewellery demand weakened due to high prices. The customs duty hike in May pushed domestic prices higher, dampening retail demand. Rajesh Rokde, GJC Chairman, said the recent decline in bullion prices was driven by profit-booking, a stronger US dollar and expectations of higher global interest rates for longer. "Global sentiment has also shifted as safe-haven demand eased after recent geopolitical tensions subsided," he said. Despite the correction in futures, retail prices are elevated, with 24-carat gold trading around ₹14,250-14,400 per g through late June, he said. Looking ahead, Rokde said the festive season and the peak wedding calendar in the second half of the year are expected to support jewellery demand.

QUICKLY.

Centre likely to clear
Kothagudem airport soon

Hyderabad: The Centre is expected to accord approval to the proposed Kothagudem airport shortly, while construction of the Warangal airport is slated to begin next month, Telangana Minister for Irrigation and Civil Supplies N Uttam Kumar Reddy said on Tuesday. Addressing the inaugural session of Aeromart Hyderabad 2026, he added that an airfield catering to both civil and defence requirements would be developed at Adilabad. **OUR BUREAU**

Gujarat, IBM in pact to
set up industrial AI Centre

Ahmedabad: Gujarat has joined hands with IBM and the Indian AI Research Organisation (AIRO) to set up an Industrial Artificial Intelligence Centre of Excellence that will function as a 'Living Lab' for developing, testing and demonstrating AI solutions for industries. The proposed centre is aimed at helping industries adopt AI faster. **OUR BUREAU**

Bajaj Auto overtakes TVS to lead electric two-wheeler market in June

REVVING UP. India's E2W market posted strong growth during the month, with registrations rising 52% y-o-y

T E Raja Simhan
Chennai

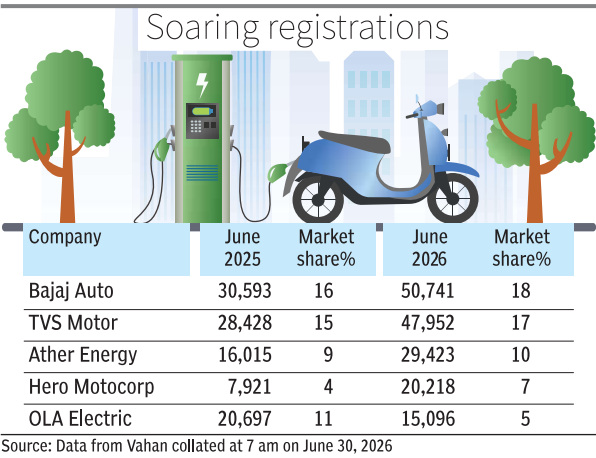
Bajaj Auto zipped past TVS Motor Company in electric two-wheeler sales in June, a month when the segment crossed the 10 per cent penetration mark.

Bajaj Auto registered sales of 50,741 units (18 per cent market share) compared with 30,593 units in June last year.

TVS Motor was a close second with 47,952 registrations (17 per cent share), up from 28,428 units, as per Vahan data on June 20 morning.

Ather Energy continued its growth trajectory with 29,423 registrations, compared with 16,015 units in June 2025, increasing its market share to 10 per cent from 9 per cent.

Overall, India's electric



two-wheeler (E2W) market posted strong growth in June 2026, with registrations rising 52 per cent year-on-year to 2.85 lakh units, driven by growing consumer acceptance, wider model availability and stronger participation by established manufacturers. Both pure

EV and battery-operated Vehicles have been considered for this analysis.

Registrations also increased 74 per cent sequentially, and electric two-wheelers accounted for about 10.5 per cent of total two-wheeler sales during the month.

The standout development in June was E2W penetration crossing 10% for the first time, signalling wider market acceptance

Hero MotoCorp emerged as the fastest-growing player, with registrations more than doubling to 20,218 units from 7,921 units a year ago. Its market share rose to 7 per cent from 4 per cent.

In contrast, Ola Electric continued to lose ground. Its registrations fell to 15,096 units from 20,697 units in June 2025.

BROADER ACCEPTANCE

“The standout development

in June was E2W penetration crossing the 10 per cent mark for the first time, underscoring the sector's transition from early adoption to broader market acceptance,” said Poonam Upadhyay, Director, Crisil Ratings.

She attributed the growth to improving affordability on a total cost-of-ownership basis, a wider range of models and increasing participation by established original equipment manufacturers.

“The rise in penetration from 7.3 per cent in June 2025 and 9.3 per cent in May 2026 to around 10.5 per cent in June 2026, alongside robust growth in registrations, highlights the sustained momentum in EV adoption and reinforces the increasing mainstream acceptance of electric two-wheelers within the broader mobility market,” she said.

See, decide, act together: Outgoing Army Chief Gen Dwivedi

Our Bureau
New Delhi

Chief of Army Staff General Upendra Dwivedi, in his farewell statement on Tuesday, said that the direction to the armed forces is very clear: “To see together, take decisions together and take actions together”, given that future wars will be more joint, integrated and theatre-oriented.

General Dwivedi retired on Tuesday, handing over the reins to General Dhiraj Seth after spending 40 years in olive green. He was accorded a guard of honour as part of a ceremonial farewell held on the lawns of the South Block.

Interacting with the media on the sidelines of the event, Gen Dwivedi said he was completing a two-year tenure as the 30th Chief of Army Staff with a “sense of deep gratitude, pride and satisfaction”.

COORDINATED ACTION

All three services of the armed forces worked with jointness and integration during Operation Sindoor in May 2025, which was in response to the Pahalgam terror attack, Gen Dwivedi said.

“The coordination among the three services got strengthened. The Army, the Navy and the Indian Air Force worked together with shared thinking and integra-

General Dwivedi retired on Tuesday, handing over the reins of the Army to General Dhiraj Seth

tion,” he said. “In future, wars will be more joint, integrated and theatre-oriented. So, our direction is clear — to see together, make decisions together and take actions together,” he observed.

Giving a sense of his stint, he stated that the Indian Army had maintained its operational readiness in a pro-

gressive manner on all fronts in the past two years.

On the northern border, under Operation Snow Leopard, “our deployment is firm and vigilant”, he said.

“On the western border too, the Army has done its duty with complete seriousness and readiness. Operation Sindoor is a burning example,” he asserted.

The outgoing Army chief asserted that for any commander, “his strengths are his soldiers, whose commitment, bravery and discipline are the identity of the Indian Army”.

The brave soldiers of the Army have played key roles in counter-terrorism operations, he said.



CHANGE OF GUARD. General Dhiraj Seth (left) takes over as the 31st Chief of the Army Staff, succeeding General Upendra Dwivedi, in New Delhi on Tuesday **ANI**

Tamil Nadu eyes bigger share of ₹3-lakh crore defence opportunity, invites industry to partner

Our Bureau
Chennai

Tamil Nadu hopes to emerge a major defence and aerospace manufacturing hub, and is keen for industries, start-ups and MSMEs to tap into the projected ₹3-lakh crore defence production opportunity in India by 2029, said D Karthikeyan, Chairman and Managing Director, Tamil Nadu Industrial Development Corporation (Tidco).

Speaking at the CII TN DEF X Conclave 2026, he said the State was creating the infrastructure, testing facilities and funding ecosystem to support companies entering the defence sector.

KEY PARTNER

The Centre had identified Tamil Nadu as one of the key partners in India's de-



D Karthikeyan, CMD, Tidco, at the CII TN DEF X Conclave **BUJOY GHOSH**

fence manufacturing ecosystem. The State government was working closely with the Ministry of Defence, DRDO, ISRO and industry to build indigenous capabilities.

Tidco's ₹100-crore venture capital fund, which had invested in two companies, had nearly 40 applications under evaluation, he noted. Individual investments of

up to ₹25 crore can be made under this fund.

V Vinayagam, Senior Vice-President, Tidco, said Tamil Nadu is banking on the upcoming Kulasekarapattinam Spaceport, ISRO's second launch facility, supported by a space industrial park, satellite assembly, integration and testing (AIT) facilities and a propellants park.

Officials estimate that the State could secure nearly \$15 billion of the global space manufacturing opportunity.

Chennai focuses on avionics, radar systems and shipbuilding, Hosur on aircraft maintenance and aero-engines, Coimbatore on MRO and precision manufacturing, Salem on heavy engineering and ammunition, and Tiruchirappalli on fabrication and electronics, while Thoothukudi is being de-

veloped as the State's space manufacturing hub.

INFRA DEVELOPMENT

Tamil Nadu is also developing a network of specialised industrial parks and common infrastructure. These include the Varapatti Defence Industrial Park, Sullur Aerospace Park, Space Industrial Park, Propellants Park at Thoothukudi and the Aero Hub at Vallam Vadagal.

The State is also investing in shared facilities such as the ₹100-crore Trichy Engineering and Technology Cluster (“TREAT”), which provides advanced manufacturing equipment to MSMEs on a pay-per-use basis, and the ₹400-crore TN ENGINE Centre being established in partnership with Tata Technologies, at Coimbatore for design, simulation and engineering validation, he said.

TN can build a ₹37,000-cr defence electronics industry by 2040, says DRDO scientist

Our Bureau
Chennai

Tamil Nadu has the potential to emerge as India's defence electronics capital by 2040, with an annual production opportunity of ₹37,000 crore and exports of up to ₹10,000 crore, according to a strategic roadmap presented by BK Das, DRDO Distinguished Scientist and Director General (Electronics and Communication Systems), at CII TNDefX Conclave 2026 on Tuesday.

Tamil Nadu is at the centre of India's push towards defence self-reliance, arguing that the State's well-established electronics, semiconductor, aerospace and automotive manufacturing ecosystem gives it a unique advantage over other States in developing next-generation defence technologies.

India's defence electron-

ics market will expand to around ₹1.49 lakh crore by 2040, driven by growing demand for artificial intelligence-enabled systems, electronic warfare, autonomous platforms, secure communications and space technologies. Tamil Nadu could realistically capture 20-25 per cent of this market, translating into annual production worth ₹37,000 crore.

Das identified six high-priority product segments for Tamil Nadu — surveillance electronics, autonomous systems, radar and RF electronics, electronic warfare systems, secure communications and software-defined radios, and space electronics. Together, these segments could generate between ₹34,500-₹37,000 crore in annual production by 2040, he said.

SIGNIFICANT EXPORTER

Tamil Nadu is also expected to emerge as a significant de-



BK Das, DRDO Distinguished Scientist and D-G Electronics and Communication Systems **BUJOY GHOSH**

fence exporter with annual exports of ₹8,000-10,000 crore by 2040, with products targeting markets in Asean, West Asia, Africa, South Asia and Latin America.

He proposed that Tamil Nadu should create a network of specialised Centres of Excellence across the State. These could be built on the existing Tamil Nadu Defence Industrial Corridor

quantities had been allocated to 378 suppliers for a total of about 1,050 crore litres of ethanol, against cumulative offers of 1,759 crore litres received under the tender. By June 18, nearly 680 crore litres had already been supplied.

The Attorney General argued that enhancing the allocation of one supplier at this stage would trigger similar claims from other similarly placed suppliers, thereby disrupting the entire allocation process.

“The effect of this order is that there are about 75 similarly placed suppliers... We have to undo the allocation for all of them,” he submitted.

Venkataramani further submitted that the ethanol blending programme was still evolving, and its impact would become clearer over time.

“Every year there may either be a spurt in demand or a fall in demand. The E20 programme is still something the government is experimenting with,” he said.

The Bench, however, questioned why BPCL had approached the Supreme Court directly instead of filing an appeal before a Division Bench of the Karnataka High Court.

CONSOLIDATING PLEAS

The law officer submitted that similar petitions were pending before several High Courts and sought liberty to file a transfer petition to have them heard together by the apex court. He argued that an authoritative ruling was necessary before the next round of ethanol supply contracts was finalised in October.

The Bench issued notice on the plea and directed the parties to maintain *status quo* until the matter is taken up for hearing after the apex court resumes regular sittings on July 13.

AP to take up mineral-mapping, frame policy for value-addition

Our Bureau
Hyderabad

Andhra Pradesh Chief Minister N Chandrababu Naidu directed officials to take up comprehensive mineral mapping across the State to identify valuable mineral deposits for value addition.

Reviewing the performance of the Mines Department in Amaravati on Tuesday, Naidu said Andhra Pradesh's vast mineral wealth offers significant opportunities for market capitalisation.

MARKET CAPITALISATION

The State-owned Andhra Pradesh Mineral Development Corporation (AP-MDC) is exploring avenues for market capitalisation of valuable mineral assets, and

he directed officials to undertake a detailed study with the assistance of experts.

Substantial revenue could be generated by adding value to minerals such as beach sand and rare earth minerals, iron ore, manganese and alumina.

VALUE-ADDITION

Several States had achieved revenue surpluses primarily through mineral-based income, Naidu said and called for a comprehensive policy focused on mineral value addition.

He stressed that processing and value addition should take place within Andhra Pradesh to maximise economic benefits and generate employment, adding a cluster for rare earth minerals could be set up in the State, according to a release.

Unions slam platforms for approaching the High Court against Karnataka Gig Workers Act

Our Bureau
Bengaluru

The Indian Federation of App-Based Transport Workers (IFAT), the Telangana Gig and Platform Workers Union (TGPWU) and the Karnataka App-Based Workers Union (KAWU) strongly condemned major platform aggregators such as Swiggy, Zepto and Zomato (Eternal Ltd) challenging the Karnataka Platform-Based Gig Workers (Social Security and Welfare) Act, 2025, before the High Court.

The unions called the decision an attempt to deny workers their basic rights to social security and dignified working conditions.

Shaik Salauddin, Co-Founder and National Gen-



The unions view the move as an attempt to deny gig workers their basic right to social security

eral Secretary of IFAT and Founder President of the TGPWU, said, “The digital economy cannot be built on exploitation and insecurity.”

However, industry experts pointed out that the legal challenge stems from deep anxieties regarding financial stability and regional fragmentation. According to Satish Meena, advisor at Datum Intelligence, aggregators are

not necessarily trying to evade their duties but are facing an operational nightmare. “If platforms have to pay this in every State, and once this becomes applicable, if 25 States end up enacting similar laws, it becomes very difficult for them,” the analyst observed, adding that a lack of coordinated pre-legislative dialogue often leaves courts as a platform's only recourse.

“Sometimes the real issue is that there's no proper coordination between platforms and lawmakers before a law is passed — the law comes first, and only afterwards do they reach out for consultation,” Meena said.

Salauddin rejected the companies' core legal argument that the State law conflicts with the Centre's Code

on Social Security (COSS), 2020.

He argued that the companies were “misrepresenting the intent and content of the law”. The Karnataka Act “only supplements and does not replace” the COSS.

STARK DIVIDE

There is also a stark divide on how the actual welfare fee will impact the market. While unions demand that platforms absorb the cost of doing business, Meena argued that the burden will ultimately shift to the public.

Salauddin pointed to the ILO Convention 193 to argue that Karnataka's law reflected an emerging global consensus on workers' rights to social security, fair pay, safety and protection from algorithmic exploitation.

Varsities must enhance tribal livelihoods: President Murmu

Our Bureau
Hyderabad

All universities, particularly tribal universities, should have innovative systems in place to enhance the livelihoods of tribal people, President of India Droupadi Murmu said.

Speaking at the first convocation ceremony of the Central Tribal University of Andhra Pradesh at Vizianagaram on Tuesday, the President asked tribal universities to facilitate productive work in areas such as forest produce, handicrafts, millets, medicinal plants, eco-tourism and local entrepreneurship.

The Central Tribal University of Andhra Pradesh had several special responsibilities and was expected to become a hub for fostering self-

confidence, leadership and policy-making capabilities within the tribal society, Murmu said.

Institutions have a duty to work at the grassroots level for the education, health, skill development, livelihoods and forest rights of tribal communities in their region, she said.

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QUICKLY.

Aurobindo Pharma completes Lannett buy



Hyderabad: Aurobindo Pharma, USA (APUSA) an arm of Aurobindo Pharma, completed the previously announced acquisition of Lannett Company, Inc, from Lannett Seller Holdco, Inc. Effective June 29, 2026, Lannett has become a wholly-owned subsidiary of APUSA and will operate as Lannett Company LLC. **OUR BUREAU**

UK considers opening app stores to rival payments

London: Britain's competition regulator on Tuesday proposed allowing app developers to steer users to alternative payment options outside Apple and Alphabet's Google app stores to cut fees and boost competition. The Competition and Markets Authority said the proposals would remove restrictions that currently prevent UK developers from directing users to off-platform payment options, which are banned by Apple and restricted by Google. **REUTERS**

India Inc in a flux as AI coding costs balloon to 3x developer salaries

RATIONING ISSUES. Token usage poses risk of budget overruns and reduced ability to track cost-to-value

Vallari Sanzgiri
Mumbai



MANY USES. Token costs are not confined to software engineering and are increasingly becoming a concern across enterprises **BLOOMBERG**

AI-enthusiastic Indian corporates are now hard-pressed to put their money where their mouth is as recent tokenisation costs indicate that the average annual cost of AI coding is nearly triple the salary of the average software developer in India.

For some years now, Indian corporates, particularly IT services companies have been talking about the transformative potential of AI technology, particularly in driving up productivity manifold with the same or even a small workforce.

Last week, Gartner released a global prediction report stating that AI coding cost would exceed labour cost for the same tasks by 2028. Without clear visibility into token usage across development tasks, organisations risk budget overruns and reduced ability to track cost-to-value outcomes. Conversations with experts reveal that this prediction has become a reality in India.

“Organisations say that AI coding costs are exceeding \$3,500 [around ₹3 lakh] per developer per month due to the token-based consumption based pricing model. In one case, a developer ended up consuming \$20,000 worth of AI tokens. From an Indian perspective, this means that the AI cost is already more than that of the human labour employed,” said Nitish Tyagi, Senior Principal Analyst at Gartner.

“Annual compensation in IT services is often around 1.5–2 times an engineer’s years of experience, while GCCs and product companies typically pay 2–2.5 times, extending to 3 times for highly sought-after skills,” said Ganesh S Padmanabhan, VP - Recruitment Business at CIEL HR.

This means that even professionals with 5–8 years of experience receive salaries between ₹12–24 LPA in IT services and a slightly higher range of ₹25–45 LPA in GCCs.

Token costs are not confined to software engineering and are increasingly becoming a concern across

enterprises. However, the cost disparity makes it harder for companies to justify the returns on their AI investments. Worse still, tokenisation costs are expected to increase in coming years.

Gartner’s client-analyst interactions indicate that GitHub Copilot pricing could rise to 3–8 times current spending levels.

An industry analyst, speaking on the condition of anonymity, said companies are trying to solve the issue by turning the earlier narrative on its head — using AI to resolve complex prompts while assigning humans to more general-purpose tasks.

This comes as yet another challenge to aspirants, who until now had been led to believe that niche and AI-led skills would help them secure higher salary increments.

“If you’re doing generalist or maintenance work, that slowdown is very real. But if you have AI, cloud, or security skills, you’re looking at 15–25 per cent increments. AI and ML talent demand is the single largest driver of

above-inflation salary growth in 2025–2026. The gap between a “regular tech salary” and a “scarce-skills tech salary” has never been wider. It might be a bubble, but for now, it is not bursting,” said Sarbojit Mallick, Co-founder, Instahyre.

FUTURE DECREASE

Despite the complications involved, Nasscom Chairman Srikanth Velamakunni assured *businessline* that the Human+AI approach will reap its benefits in coming years.

“We compare AI to one human being right now but if it can do the work of 10–20 humans, even a 3x token cost is justified,” he said.

Rather than questioning earlier moves, Velamakunni argued the real challenge lies in reducing costs while improving the quality of AI-generated work.

In the meantime, Tyagi advised companies to focus on their content engineering, model routing techniques and broader model portfolio adoptions strategies to manage AI costs.

European regulator recognises Clearing Corporation of India

Bloomberg

European authorities formally recognised India’s sovereign debt clearing house as a permitted trading counterparty, making it easier for lenders like Deutsche Bank AG and BNP Paribas SA to trade bonds in the country.

The European Securities and Markets Authority recognised the Clearing Corp of India Ltd (CCIL) as a so-called tier-1 third-country central counterparty, the local clearing house said in a statement on Tuesday.

The recognition will allow the CCIL to provide services to clearing members and trading venues established in the EU.

The move “removes a key friction point, restores capital efficiency for European banks, and will unlock significant international capital flows into the country,” said Kaushik Shaparia, CEO, Deutsche Bank Group India & Emerging Asia.

“This creates a more seamless pathway for global investors to participate at scale” in India’s financial system, he said. *Bloomberg News* reported earlier on Tuesday that the ESMA had recognised the clearing house.

The developments come after the ESMA and the Reserve Bank of India agreed in January to end a years-long dispute over oversight of the central bank-supervised local clearing house.

Subsequently, the CCIL sent a fresh application for recognition to the ESMA.

MARKET ACCESS

European banks are key market-makers for Indian bonds and derivatives. While they were allowed to work with the CCIL, they faced additional charges for trading with unrecognised clearing houses.

The ESMA had announced the withdrawal of CCIL’s recognition in October 2022, while the RBI maintained that demands for access to the books of the clearing house interfered with domestic regulations.

Delhi airport handled 7.5 million international passengers in FY26

Rohit Vaid
New Delhi



The National Capital-based IGI Airport handled nearly 7.5 million domestic-to-international transfer passengers during FY26, an increase from 4.1 million in FY25, according to the Delhi International Airport Ltd (DIAL).

Speaking to *businessline*, its CEO Pradeep Panicker said transfer passengers now accounted for a significant share of overall traffic handled at the airport.

According to Panicker, Delhi airport handled close to 78.7 million passengers during the last financial year from 79.2 million in FY25, with approximately one in four passengers transiting through the airport.

“In FY26, we handled close to 7.5 million domestic-to-international passengers in both directions,” he said.

INCREASED ACTIVITY

The figures come at a time when the airport is expanding its hub-and-spoke connectivity framework to facilitate seamless domestic-to-international transfers through the national capital.

As per DIAL, the airport has introduced a range of process enhancements to

support transfer traffic growth, including international-contact gates, dedicated international-to-international transfer areas, DigiYatra biometric e-gates and segregated passenger movement corridors.

Besides, Panicker said the new framework is expected to significantly reduce transfer times by allowing passengers to complete immigration formalities at the originating airport.

Since passengers are only required to undergo security checks at the hub airport, transfer times are expected to remain well below one hour in most cases.

The airport operator cited that the framework has been designed as an airport-wide capability that can be utilised by multiple domestic carriers.

WhatsApp username launch raises identity concerns

Vallari Sanzgiri
Rohan Das
Mumbai / Chennai



Partners, the username feature could significantly reduce unnecessary phone-number exposure and add an extra gate for first-time chats in India but it leaves room for impersonation and scams.

Malcolm Gomes, Chief Operating Officer at Privy by IDfy, a privacy and data governance platform, suggested that while a phone number is difficult to fake convincingly, a username is not.

IMPERSONATION ISSUE

“A minor tweak such as an extra letter, number or underscore can make a fake username appear legitimate, especially on smaller devices. This is already common on platforms like Instagram, Telegram and X, where such lookalike accounts are used by scammers to impersonate,” he said.

“WhatsApp is the default channel for families, small

shops, delivery and now banks and government offices. A handle made to look like your bank or a government department is a useful tool for a fraudster. A clean, number-free way to reach a target behind a believable name only helps them,” said Apar Gupta, Founder of the Internet Freedom Foundation (IFF).

FRAUD RISK

This means that while the username key controls who can contact a person first, it cannot stop someone pretending to be that person. To prevent this, WhatsApp

must stop confusable handles at sign-up, verify and protect the accounts that get impersonated most like banks, government bodies.

“The danger is that this becomes a paid blue tick. A badge you can buy stops being a safety signal and becomes a way to make money, and then a fraud tool itself. It must not be a revenue line,” said Gupta.

Interestingly, the Delhi High Court, while upholding the ban on Telegram earlier this month, had said that the use of usernames facilitates the rapid dissemination of content that might be illicit in nature. Aside from fraud risk, the feature also creates compliance gaps under the IT Rules 2021, per Aashima Shrivastava, Partner at Sagus Legal.

WhatsApp, as a significant social media intermediary with 550+ million Indian users, retains the obligation

to enable identification of message originators within India upon government request.

On whether WhatsApp’s new username feature would elicit a similar ban during such circumstances, Namita Viswanath, Partner at CMS INDUSLAW, said it would depend on how the feature is implemented and whether authorities can still trace users and block specific content.

“As long as every username remains linked to a verified number at the backend, tracing users who disseminate unlawful content does not become impossible, making it structurally different from Telegram’s model,” she said.

She added that Telegram’s publicly accessible groups also make largescale dissemination easier, a feature that WhatsApp currently does not offer.



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